

10

Shareholders' Equity



SPOTLIGHT

L'Occitane

www.loccitane.com



Few imagined that a French company would list its shares on an Asian stock exchange. L'Occitane, a company with deep regional roots in Provence, France, did exactly that in May 2010, with its HK\$6.1 billion (Hong Kong Dollars, about €618 million) offering. The Initial Public Offering (IPO) saw about 27% of L'Occitane shares floated on the Hong Kong stock exchange. L'Occitane plans to use the proceeds to accelerate its international expansion in high-growth emerging markets such as China, Brazil, and Russia, as well as mature markets such as Japan and the United States. ●

Boris Popchinskiy/Shutterstock



Earlier in Chapters 5 to 9, we discussed accounting for various assets and liabilities. By this time, you should be familiar with the more common assets and liabilities listed on a company's Balance Sheet. Let's focus now on shareholders' equity. Remember that share capital is the owner's investment into the company, and that retained earnings are profits from prior periods that have not been distributed to owners. You will learn more about equity and equity transactions in this chapter and discuss some of the decisions a company faces when

- paying dividends
- issuing shares
- buying back its shares

Not all companies will have all the various equity transactions we discuss in this chapter, but all equity-related transactions are reported in the statement of changes in equity. L'Occitane's (adapted) statement of changes in equity is shown below. The key transaction in 2010 is the issuance of its shares in May 2011 (line 4). A total of over 405 million shares were floated at the Hong Kong Stock Exchange, with total proceeds of about €618 million. Half of the shares floated were newly issued shares by the company, and the other half were sold by existing shareholders. Thus, from the company's perspective, proceeds from the share issuance was about €300 million (half of the €618 million less costs of issuance).

A1							
A							
L'Occitane International S.A. Consolidated Statement of Changes in Equity For the Year Ended March 31, 2011							
(Adapted, in Thousands of euro)							
	Share Capital	Additional Paid-in Capital	Retained Earnings	Others	Non-controlling Interests	Total Equity	
3	Balance at March 31, 2010	€ 38,232	€ 48,730	€ 67,774	€ 2,554	€ 3,988	€ 161,278
4	Profit for the year			99,501		3,199	102,700
5	Other comprehensive income				2,194	(437)	1,757
6	Issue of new shares	6,077	294,121				300,198
7	Other equity transactions				1,083	(1,752)	(669)
8	Balance at March 31, 2011	€ 44,309	€ 342,851	€ 167,275	€ 5,831	€ 4,998	€ 565,264
9							

The statement of changes in equity above reconciles the movements in equity accounts from one Balance Sheet to another. You should be able to trace the totals above to L'Occitane's Balance Sheets below.

A1		
A		
L'Occitane International S.A. Consolidated Balance Sheet		
As at March 31		
	2011	2010
3	€ 785,860	€ 436,590
4	220,596	275,312
5	565,264	161,278
6	€ 785,860	€ 436,590
7		

Let's begin with our equity discussions with the organization of a corporation.

LEARNING OBJECTIVES

- | | |
|--|---|
| <p>1 Explain the features of a corporation</p> <p>2 Account for the issuance of shares</p> <p>3 Account for treasury shares</p> | <p>4 Account for other equity transactions</p> <p>5 Understand the different values of shares</p> <p>6 Evaluate a company's return to equity holders</p> |
|--|---|

1 Explain the features of a corporation

EXPLAIN THE FEATURES OF A CORPORATION

Anyone starting a business must decide how to organize the entity. Corporations differ from proprietorships and partnerships in several ways. Our discussions in this chapter will be based on the general features of these business entities, as actual regulatory requirements will vary from one jurisdiction to another. Your instructor may provide additional information about how to set up companies or corporations in your own country, and any specific rules about corporations relevant for your studies.

Separate Legal Entity. A corporation is a business entity formed under law. It is a distinct entity, an artificial person that exists apart from its owners, the **shareholders**. The corporation has many of the rights that a person has. For example, a corporation may buy, own, and sell property. Assets and liabilities in the business belong to the corporation and not to its owners. The corporation may enter into contracts, sue, and be sued.

Nearly all large companies, such as L'Occitane, Microsoft, and Facebook, are corporations. Their full names usually include the words *Corporation* or *Incorporated* or *Limited* (abbreviated *Corp.*, *Inc.*, and *Ltd.*, respectively) to indicate that they are corporations, for example, News Corporation, and Apple Incorporated. This depends very much on the local and legal practices in the country of incorporation. For example, in Australia you often see Pty Ltd (*proprietary limited*), in the UK you will see PLC (public limited company), in Germany, AG (*Aktiengesellschaft*), in Italy, SpA (*società per azioni*), in Malaysia, Sdn Bhd (*Sendirian Berhad*), in Belgium, SA (*Société Anonyme*), in Brazil, Ltda (*Sociedade Limitada*), etc.

Continuous Life and Transferability of Ownership. Corporations have *continuous lives* regardless of changes in their ownership. The shareholders of a corporation may buy more of the **shares**, sell the shares to another person, give them away, or bequeath them in a will. The transfer of the shares from one person to another does not affect the continuity of the corporation. In contrast, proprietorships and partnerships terminate when their ownership changes.

Limited Liability. Shareholders have **limited liability** for the corporation's debts. They have no personal obligation for corporate liabilities. The most that a shareholder can lose on an investment in a corporation's share is the cost of the investment. Limited liability is one of the most attractive features of the corporate form of organization. It enables corporations to raise more capital from a wider group of investors than proprietorships and partnerships can. By contrast, proprietors and partners are personally liable for all the debts of their businesses.¹

Separation of Ownership and Management. Shareholders own the corporation, but the *board of directors*—elected by the shareholders—appoints officers to manage the business. Thus, shareholders may invest \$1,000 or \$1 million in the corporation without having to manage it.

The management's goal is to maximize the firm's value for the shareholders. But the separation between owners and managers may create problems. Corporate officers may run the business for their own benefit and not for the shareholders. For example, the CEO of Tyco Corporation was accused of looting Tyco of \$600 million. The CFO of Enron Corporation set up outside partnerships and paid himself millions to manage the partnerships—unknown to Enron shareholders. Both men went to prison.

¹ Unless the business is organized as a limited-liability company (LLC) or a limited-liability partnership (LLP).

Corporate Taxation. Proprietorships and partnerships pay no business income tax. Instead, the business's tax falls solely on the owners. On the other hand, corporations are separate taxable entities. Just like individuals, they have to pay taxes, usually referred to as *corporate tax*. In some countries, corporations may be subject to federal and state income taxes. The specific rules on taxation would naturally vary from country to country. In general, not everything on the corporation's Income Statement may be subject to tax, or they may be subject to tax at a different rate. For example, many countries are promoting additional tax deductions for spending on research and development, or allow companies to claim an accelerated method of depreciation for tax purposes for certain assets. Many accounting graduates also work in the area of taxation. If this is an area that is of interest to you, you may find courses on individual and corporate taxation beneficial.

Government Regulation. Because shareholders have only limited liability for corporation debts, outsiders doing business with the corporation can look no further than the corporation if it fails to pay. To protect a corporation's creditors and shareholders, governments monitor corporations. In general, the bigger a company becomes, the more rules and regulations it will have to comply with. For example, a public company (that raises funds from the public) will be subject to more regulatory oversight than a private company with a small number of shareholders. Similarly, a company that is listed on a stock exchange will be expected to follow the exchange's listing rules. The regulations mainly ensure that corporations disclose the information that investors and creditors need to make informed decisions. Accounting provides much of this information. Some jurisdictions may also limit maximum ownership levels for citizens versus non-citizens.

Exhibit 10-1 summarizes the advantages and disadvantages of the corporate form of business organization.

Exhibit 10-1 | Advantages and Disadvantages of the Corporation

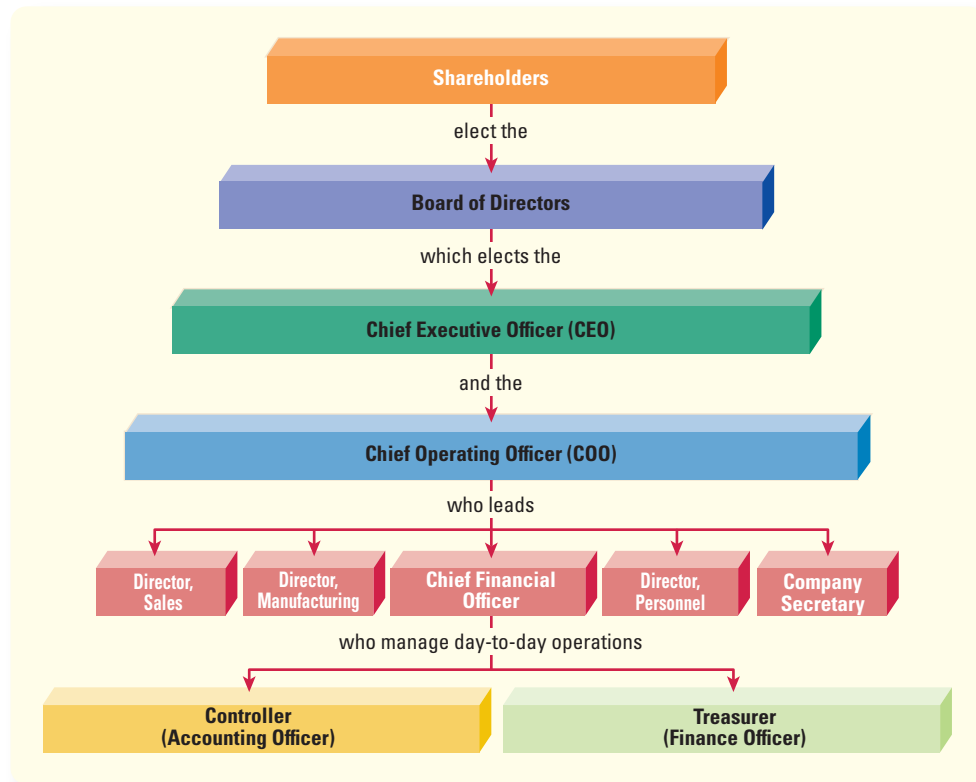
Advantages	Disadvantages
1. Can raise more capital than a proprietorship or partnership	1. Separation of ownership and management
2. Continuous life	2. Corporate taxation
3. Ease of transferring ownership	3. Government regulation
4. Limited liability of shareholders	

Organizing a Corporation

The creation of a corporation begins when its organizers apply for registration as a company with the relevant authority. Again, your local requirements may vary from what we discuss here, but would typically require the entity to have a constitution, charter, or memorandum (and articles) of association. The constitution includes the authorization for the corporation to issue a certain number of shares. A share is the basic unit of ownership for a corporation. Once the registration requirements are met, the corporation then comes into existence.

Ultimate control of the corporation rests with the shareholders who elect a **board of directors** that sets company policy and appoints officers. The board elects a **chairperson**, who usually is the most influential person in the organization. The chairperson of the board of directors, or chairman of the board, may be involved in the running of the corporation as the chief executive officer (CEO), or he/she may be an independent chairman who appoints someone else to be the CEO. The board may also designate a chief operating officer (COO) to be in charge of day-to-day operations. Most corporations also have directors or officers in charge of sales, manufacturing, accounting and finance (the chief financial officer, or CFO), and other key areas. Exhibit 10-2 shows the typical authority structure in a corporation. Note that the local practices in your country may use different titles than those listed below.

Shareholders' Rights. Ownership of shares entitles shareholders to four basic rights, unless a specific right is withheld by agreement with the shareholders:

Exhibit 10-2 Authority Structure in a Corporation

1. **Vote.** The right to participate in management by voting on matters that come before the shareholders, usually in an annual general meeting (AGM). This is the shareholder's sole voice in the management of the corporation. A shareholder gets one vote for each share owned, unless otherwise specified in the company's constitution.
2. **Dividends.** The right to receive a proportionate part of any dividend. Each share in a particular class receives an equal dividend.
3. **Liquidation.** The right to receive a proportionate share of any assets remaining after the corporation pays its liabilities in liquidation. Liquidation means to go out of business, sell the assets, pay all liabilities, and distribute any remaining cash to the owners.
4. **Preemption.** The right to maintain one's proportionate ownership in the corporation. Suppose you own 5% of a corporation's shares. If the corporation issues 100,000 new shares, it must offer you the opportunity to buy 5% (5,000) of the new shares. This right, called the *preemptive right*, may be required by law or incorporated into the company's constitution.

Shareholders' Equity. As we saw in Chapter 1, **shareholders' equity** represents the shareholders' residual ownership interest in the assets of a corporation, i.e., after deducting all liabilities from total assets. Shareholders' equity is divided into two major parts:

1. **Paid-in capital**, also called **contributed capital** or **share capital**. This is the amount of shareholders' equity the shareholders have contributed to the corporation. Paid-in capital includes the share's par values and any additional paid-in capital (more on this later in the chapter).
2. **Retained earnings.** This is the amount of shareholders' equity the corporation has earned through profitable operations and has not used for dividends.

Companies report shareholders' equity by source. They report paid-in capital separately from retained earnings because most jurisdictions prohibit the declaration of cash dividends from paid-in capital. Thus, cash dividends are declared from retained earnings.

A Closer Look

Companies often create further sub-categories of equity accounts. Some would keep separate balances for certain reserves (e.g., revaluation reserves, foreign currency reserves, hedging reserves, and others). You also saw earlier (in Chapter 9) how “non-controlling interests” are used to record the part of consolidated subsidiaries that do not belong to the reporting entity. In this chapter, we have summarized these sub-categories as “others.” If you are pursuing further studies in accounting, you will learn more about these accounts.

The owners' equity of a corporation is divided into shares. A corporation issues *share certificates* to its owners when the company receives their investment in the business—usually cash. Many countries have adopted electronic share certificates in favor of physical share certificates that require manual handling and storage. Because shares represent the corporation's capital, it is often called *share capital*. A corporation may issue a share certificate for any number of shares—1,100, or any other number—but the total number of authorized shares is limited by the company's constitution. Exhibit 10-3 shows an example of a share certificate.

Exhibit 10-3 Hypothetical Corporate Stock (Share) Certificate

00570387GC | GENCO | C01 | CUS | C2005636917 | PCTDS | 1102 | 13161067 | 0000000000000000 |||

NUMBER
GC570387

INCORPORATED UNDER THE LAWS OF THE STATE OF NEW JERSEY

COMMON STOCK
\$.05 PAR VALUE



THIS CERTIFICATE IS TRANSFERABLE IN BOSTON, MA AND HOBOKEN, NJ

COMMON STOCK
\$.05 PAR VALUE

THE GENERIC COMPANY, INC.

SHARES
***1**

CUSIP 437076 10 2
SEE REVERSE FOR CERTAIN DEFINITIONS

This Certifies that

WILLIAM C HARPER SR
4536 CAPE ELIZABETH COURT EAST
JACKSONVILLE FL 32277

is the owner of ****ONE****

FULLY PAID AND NON-ASSESSABLE SHARES OF THE COMMON STOCK OF

The Generic Company, Inc., transferable on the books of the Corporation by the holder hereof in person or by duly authorized attorney upon surrender of this Certificate properly released. This Certificate is not valid until countersigned and registered by the Transfer Agent and Registrar.

Witness the facsimile seal of the Corporation and the facsimile signatures of its duly authorized officers.

DATED

24-JAN-2011



COUNTERSIGNED AND REGISTERED:

BY: *John Doe*

TRANSFER AGENT
AND REGISTRAR

AUTHORIZED OFFICER

William Doe

CHAIRMAN & CEO

Annette Doe

EMP. GENERAL COUNSEL
& CORPORATE SECRETARY

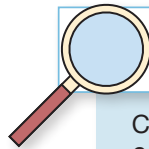
Classes of Shares. Corporations issue different types of shares to appeal to a variety of investors. Some countries use the term “stock” as a synonym for “shares.” The shares of a corporation may be either:

- Ordinary shares or preference shares
- With or without par values

Ordinary and Preference Shares. Every corporation issues **ordinary shares**, the basic form of share capital. Unless designated otherwise, the word *share* is understood to mean “ordinary share.” Ordinary shareholders have the four basic rights of share ownership, unless a right is specifically withheld. The ordinary shareholders are the owners of the corporation. They stand to benefit the most if the corporation succeeds because they take the most risk by investing in ordinary shares. Sometimes you may see ordinary shares labeled “common stock” in U.S. companies’ financial statements.

Preference shares give their owners certain advantages over ordinary shareholders. Preference shareholders receive dividends before the ordinary shareholders, and they also receive assets before the ordinary shareholders if the corporation enters into liquidation. Owners of preference shares also have the four basic shareholder rights, unless a right is specifically denied. Companies may issue different classes of preference shares (Class A and Class B, or Series A and Series B, for example). Each class of preference shares is recorded in a separate account. The preference shareholders expect to earn a fixed dividend on their investments.

A preference share may also have additional features that make it something of a hybrid between ordinary shares and long-term debt. Like interest on debt, preference shares pay a fixed dividend. But unlike interest on debt, the dividend is not required to be paid unless the board of directors declares the dividend. Also, companies have no obligation to pay back true preference shares, unless they are designated as **redeemable preference shares**.



A Closer Look

Consistent with the *IFRS Framework*’s principle of “faithful representation,” *IAS 32—Financial Instruments: Presentation* requires financial instruments to be classified as either a financial liability or an equity instrument according to the substance of the contract, not its legal form, and the definitions of financial liability and equity instrument. This is why redeemable preference shares that have the characteristics of a liability are shown on the financial statements as a liability, even though the legal form of the instrument is that of equity.

Preference shares are not common. A recent study of IFRS companies shows that about 80% of the companies surveyed only have one single class of ordinary shares (AICPA 2010).

Exhibit 10-4 shows some of the similarities and differences among ordinary shares, preference shares, and long-term debt.

Exhibit 10-4 | Comparison of Ordinary Shares, Preference Shares, and Long-Term Debt

	Ordinary Share	Preference Share	Long-Term Debt
1 Obligation to repay principal	No	No	Yes
2 Dividends/interest	Dividends are not tax-deductible	Dividends are not tax-deductible	Interest expense is tax-deductible
3 Obligation to pay dividends/interest	Only after declaration	Only after declaration	At fixed rates and dates

Par Value and No-Par Shares. Shares may be par value shares or no-par shares, depending on the applicable regulatory framework. **Par value** is an arbitrary nominal amount assigned by a company to its share. Most companies set the par value of their shares low to avoid legal difficulties from issuing their shares below par. In Exhibit 10-3, you saw that the Generic Company’s share has a par value of \$0.05 per share. In the same survey of 600 corporations mentioned earlier, less than 9% of the 600 companies use no-par value shares.

Let’s have a look now at L’Occitane’s share capital. It only has one class of shares, ordinary shares with a par value of €0.03 per share.

EXCERPTS FROM L'OCCITANE's NOTES TO THE 2011 FINANCIAL STATEMENTS

(in thousands €, except for no. of shares)	No. of shares	Share capital	Additional paid-in capital	Total
Balance at March 31, 2010	19,290,674	€ 38,232	€ 48,730	€ 86,962
April 2010, redesignated €0.03 par value	1,255,105,717			
May 2010, issuance of new shares	<u>202,568,500</u>	<u>6,077</u>	<u>294,121</u>	<u>300,198</u>
Balance at March 31, 2011	<u>1,476,964,891</u>	<u>€ 44,309</u>	<u>€ 342,851</u>	<u>€ 387,160</u>

On April 9, 2010, the sole shareholder of the Company, L'Occitane Group S.A., resolved that a value of €0.03 be designated as par value per ordinary share in the share capital of the Company so that the subscribed share capital of the Company amounting to €38,232,000 be represented by 1,274,396,391 shares having a par value of €0.03.

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Voting Rights. Companies may have different classes of shares with different voting rights. For example, Berkshire Hathaway has two classes of shares: Common Stock (ordinary share) Class A and Class B. Class A shareholders are entitled to one vote per share and an equal share in dividend and distribution rights. On the other hand, Class B shareholders only have 1/10,000 (one ten-thousandth) of the voting rights of Class A shareholders, and 1/1,500 (one-fifteen-hundredth) of the dividend and distribution rights of Class A shareholders. Similarly, for Chinese companies, you will often see Class A, Class B, and Class H shares. Class A shares are restricted to Chinese residents, whereas Class B shares are open to foreign ownership. H-shares are those of Chinese companies listed on the Hong Kong Stock Exchange.

Sometimes, due to national interests in certain industries of significant importance, you may see “special shares” with very special rights. For example, Singapore Airlines has the following share structure.

EXCERPTS FROM SINGAPORE AIRLINE'S NOTES TO THE 2016 FINANCIAL STATEMENTS

	The Group and the Company			
	Number of shares		Amount (in million SGD)	
	2016	2015	2016	2015
Issued and fully paid share capital				
Ordinary shares				
Balance at March 31	1,199,851,018	1,199,851,018	1,856.1	1,856.1
Special share				
Balance at April 1 and March 31	1	1	*	*

*The value is \$0.50

The Company's ability to operate its existing route network and flight frequency is derived solely from and dependent entirely on the Air Service Agreements (“ASAs”) concluded between the Government of Singapore and the governments of other countries. ASAs are therefore critical to the Company's operations. In almost all the ASAs, it is a condition that the Company must at all times be “effectively controlled” and “substantially owned” by Singapore nationals for the tenure of the respective ASAs.

In order to comply with the above requirement, one non-tradable Special Share was issued to the Ministry of Finance. The Special Share enjoys all the rights attached of ordinary shares. In addition, pursuant to Article 3A of the Articles of Association, no resolution may be passed on certain matters without prior written approval of the Special Member.

Source: Singapore Airline, Annual Report 2016, p. 149

2
Account for the issuance of shares

ACCOUNT FOR THE ISSUANCE OF SHARES

Large corporations such as Emirates Airlines, BASF, and SAP need huge quantities of money to operate. Corporations may sell shares directly to the shareholders or use the service of an underwriter, such as the investment banking firms UBS and Goldman Sachs. Companies often advertise the issuance of their shares to attract investors. The *Wall Street Journal* is the most popular medium for such advertisements, especially for IPOs in the United States. These advertisements are colloquially called “tombstones.” Exhibit 10-5 is a reproduction of such a tombstone.

Exhibit 10-5 Hypothetical Tombstone

This announcement is neither an offer to sell nor a solicitation of an offer to buy any of these Securities.

Number of shares offered to the public → 6,200,000 Shares

Company issuing the shares → *ABC Corporation*

Class of shares → Common Stock

Par value per share → (\$0.01 par value)

Issue price: the amount per share that ABC is offering for sale } Price \$10 Per Share

Underwriter: First Asia Bank

Copies of the Prospectus may be obtained in any State or jurisdiction in which this announcement is circulated from only such dealers or brokers as may lawfully offer these securities in such State or jurisdiction.

The lead underwriter of ABC's public offering in First Asia Bank. Brokerage firms and investment bankers sold ABC shares to their clients. In its initial public offering, ABC sought to raise \$62 million of capital (6.2 million shares at the offering price of \$10 per share). Let's see how a shares issuance works using this ABC example.

Ordinary Shares

Ordinary Shares at Par. Suppose ABC's ordinary share had carried a par value equal to its issuance price of \$10 per share. The entry for issuance of 6.2 million shares of ordinary shares at par would be:

A1				
	A	B	C	D
1	Jul. 23	Cash (6,200,000 × \$10)	62,000,000	
2		Ordinary shares		62,000,000
3		To issue ordinary shares.		
4				

ABC's assets and shareholders' equity increase by the same amount.

Assets	=	Liabilities	+	Shareholders' Equity
+ 62,000,000	=	0	+	+ 62,000,000

Ordinary Shares above Par. Most corporations set par value low and issue ordinary shares for a price above par. Rather than \$10 as in the assumed example above, ABC's ordinary share has a par value of \$0.01 (1 cent) per share. You can see this par value stated in the middle of Exhibit 10-5. The \$9.99 difference between issue price (\$10) and par value (\$0.01) is *additional paid-in capital*. You may also see this account labeled *capital in-excess of par* or *share premium*. Both the par value of the share and the additional amount are part of paid-in capital.

Because the entity is dealing with its own shareholders in their capacity as owners of the entity, issuance of shares is not gain, income, or profit to the corporation. This situation illustrates one of the fundamentals of accounting: a company neither earns a profit nor incurs a loss when it sells its shares to, or buys its shares from, its own shareholders.

With par value of \$0.01, ABC's actual entry to record the issuance of ordinary shares looked something like this. Again, both assets and equity increase by the same amount.

A1				
	A	B	C	D
1	Jul. 23	Cash (6,200,000 × \$10)	62,000,000	
2		Ordinary shares (6,200,000 × \$0.01)		62,000
3		Paid-in Capital in Excess of Par (6,200,000 × \$9.99)		61,938,000
4		To issue ordinary shares above par.		
5				

Both assets and equity increase by the same amount.

Assets	=	Liabilities	+	Shareholders' Equity
+ 62,000,000	=	0	+	+ 62,000
				+ 61,938,000

All the transactions in this section include a receipt of cash by the corporation as it issues new shares. The transactions we illustrate are different from those mergers and acquisitions reported in the daily news. In those transactions, one shareholder sold shares to another investor. The corporation doesn't record those transactions because they were between two outside parties.

» Stop & Think

Examine L'Occitane's statement of changes in equity at the start of this chapter.

- (1) What was L'Occitane's total paid-in capital at March 31, 2011?
- (2) Propose the journal entry that L'Occitane would have performed for its IPO share issuance. What is the impact of the issuance on the accounting equation?

Answers:

- (1) Total paid-capital includes both the share capital and additional paid in capital. Total paid-in capital at March 31, 2011, is therefore €44,309 + €342,851 = €387,160.
- (2) L'Occitane par value per share was €0.03 per share. Its IPO issuance of 202,568,500 new shares equals a total par value of €6,077 and additional paid-up capital of €294,121. L'Occitane would perform the following journal entry in relation to its IPO. Amounts are in thousands of euros.

A1				
	A	B	C	D
1	2010			
2	May	Cash	300,198	
3		Share Capital		6,077
4		Share Premium		294,121
5		<i>To record issuance of shares above par.</i>		
6				

Assets	=	Liabilities	+	Shareholders' Equity
+ 300,198	=	0	+	+ 6,077 + 294,121

Ordinary Shares with No-Par Values. To record the issuance of no-par shares, the company debits the asset received and credits the share capital for the cash value of the asset received. If L'Occitane shares had been no-par shares, the issuance would be recorded to share capital only.

A1				
	A	B	C	D
1	2010			
2	May	Cash	300,198	
3		Share Capital		300,198
4		<i>To record issuance of no-par shares.</i>		
5				

Assets	=	Liabilities	+	Shareholders' Equity
+ 300,198	=	0	+	+ 300,198

Shares Issued for Assets Other than Cash. When a corporation issues shares and receives assets other than cash, the company records the assets received at their current market value and

credits the share capital and additional paid-in capital accounts accordingly. The assets' prior **book value** isn't relevant because the shareholders will demand shares equal to the market value of the asset contributed. For example, on November 12, Kahn Corporation issued 15,000 shares of its \$1 par ordinary shares for equipment worth \$4,000 and a building worth \$120,000. Kahn's entry is:

A1				
	A	B	C	D
1	Nov. 12	Equipment	4,000	
2		Building	120,000	
3		Ordinary Shares (15,000 × \$1)		15,000
4		Paid-in Capital in Excess of Par (\$124,000 – \$15,000)		109,000
5		<i>To issue no-par shares in exchange for equipment and a building.</i>		
6				

Assets and equity both increase by \$124,000.

Assets	=	Liabilities	+	Shareholders' Equity
+ 4,000	=	0	+	+ 15,000
+ 120,000				+ 109,000

Ordinary Shares Issued for Services. Sometimes a corporation will issue shares in exchange for services rendered, either by employees or outsiders. In this case, no cash is exchanged. However, the transaction should be recognized at fair market value. The corporation would otherwise recognize an expense for the fair market value of the services rendered. Share capital is increased for its par value (if any), and additional paid-in capital is increased for any difference. For example, assume that Kahn Corporation engages a website designer to create the company's website. The website designer would ordinarily charge \$25,000 for such services, but agrees to accept shares rather than cash in settlement of the fee. The fair market value of each share at the time of exchange is \$10 per share (par value of \$1 per share). The journal entry to record the transaction would be:

A1				
	A	B	C	D
1		Website development	25,000	
2		Ordinary Shares		2,500
3		Paid-in Capital in Excess of Par (\$25,000 – \$2,500)		22,500
4				

In this case, retained earnings (shareholders' equity) is eventually decreased by \$25,000 (when the net profit is closed to retained earnings account), and paid-in capital (shareholders' equity) is increased for the same amount.

Share Issuance for Other than Cash Can Create an Ethical Challenge

Accounting standards require a company to record its shares at the fair market value of whatever the corporation receives in exchange for the shares. When the corporation receives cash, there is clear evidence of the value of the shares because cash is worth its face amount. But when the corporation receives an asset other than cash, the value of the asset can create an ethical challenge.

A computer whiz may start a new company by investing in computer software. The software may be market-tested or it may be new. The software may be worth millions or worthless. The corporation must record the asset received and the shares exchanged with a journal entry such as the following:

A1			
	A	B	C
1		Software	500,000
2		Share Capital	500,000
3		<i>Issued shares in exchange for software.</i>	
4			

If the software is really worth \$500,000, the accounting records are okay. But if the software is new and untested, the assets and equity may be overstated. Suppose your computer-whiz friend now invites you to invest in the new business and shows you this Balance Sheet:

A1			
	A	B	C
1	Gee-Whiz Computer Solutions, Ltd. Balance Sheet December 31, 20X7		
2	Assets		Liabilities
3	Computer software	\$ 500,000	\$ 0
4			Shareholders' Equity
5			Share capital
6	Total assets	\$ 500,000	Total liabilities and equity
7			

Companies like to report large asset and equity amounts on their Balance Sheets. That makes them look prosperous and creditworthy. Gee-Whiz looks debt-free and appears to have a valuable asset. Will you invest in this new business? Here are two takeaway lessons:

1. Some accounting values better represent the underlying economic phenomenon than others.
2. Not all financial statements mean exactly what they say—compliance with accounting standards and an audit by an independent CPA lend more credibility to the financial reporting process.

Preference Shares

Accounting for preference shares follows the same pattern we illustrated for ordinary shares. When a company issues preference shares, it credits the Preference Share account at its par value, with any excess credited to Paid-in Capital in Excess of Par—Preference Shares. There may be separate accounts for paid-in capital in excess of par for preference shares. Many companies combine paid-in capital in excess of par from both preference and ordinary share transactions into one account. Accounting for no-par preference shares follows the pattern for no-par ordinary shares.

Earlier we saw how to account for convertible bonds payable (see Chapter 9). Companies also issue convertible preference shares. The preference shares may be convertible into the company's ordinary shares at the discretion of the preference shareholders.

For example, let's assume that at some time in the future, in November 20X7, L'Occitane issued 30,000 preference shares of €1 par value for €50,000. Each of these preference shares is convertible into 100 L'Occitane ordinary shares. Suppose these preference shares are converted in November 20X9. The journal entries to record this series of transactions would be:

A1			
	A	B	C
1	20X7		
2	Nov.	Cash	50,000
3		Preference Share Capital	30,000
4		Share Premium	20,000
5		<i>To record issuance of preference shares above par.</i>	
6			

A1				
	A	B	C	D
1	20X9			
2	Nov.	Preference Share Capital	30,000	
3		Ordinary Share Capital		30,000
4		<i>To record conversion of preference shares into ordinary shares.</i>		
5				

As you can see, we merely remove Preference Share Capital from the books and increase Ordinary Share Capital by the book value of the preference shares.

Mid-Chapter Summary Problem

- Test your understanding of the first half of this chapter by deciding whether each of the following statements is true or false.
 - The policy-making body in a corporation is called the board of directors.
 - The owner of 100 preference shares always has greater voting rights than the owner of 100 ordinary shares.
 - Par value shares are worth more than no-par shares.
 - Issuance of 1,000 \$5 par value shares at \$12 increases contributed capital by \$12,000.
 - A corporation issues its preference shares in exchange for land and a building with a combined market value of \$200,000. This transaction increases the corporation's owners' equity by \$200,000 regardless of the assets' prior book values.
 - Preference shares are a riskier investment than ordinary shares.
- Mustafa Company has two classes of ordinary shares. Only the Class A ordinary shares are entitled to vote. The company's Balance Sheet included the following presentation:

A1		
	A	B
1	Shareholders' Equity	
2	Share capital:	
3	Class A ordinary share, voting, \$1 par value,	
4	authorized and issued 1,260,000 shares	\$ 1,260,000
5	Class B ordinary share, non-voting, no par value,	
6	authorized and issued 46,200,000 shares	11,000,000
7		12,260,000
8	Additional paid-in capital	2,011,000
9	Retained earnings	872,403,000
10		\$886,674,000
11		

Requirements

- Record the issuance of the Class A ordinary shares. Use the Mustafa account titles.
- Record the issuance of the Class B ordinary shares. Use the Mustafa account titles.
- How much of Mustafa's shareholders' equity was contributed by the shareholders? How much was provided by profitable operations? Does this division of equity suggest that the company has been successful? Why or why not?
- Write a sentence to describe what Mustafa's shareholders' equity means.

Answers

1. a. True c. False e. True
 b. False d. True f. False
2. a.

A1				
	A	B	C	D
1		Cash	3,271,000	
2		Class A Ordinary Shares		1,260,000
3		Additional Paid-in Capital		2,011,000
4		<i>To record issuance of Class A ordinary shares.</i>		
5				

b.

A1				
	A	B	C	D
1		Cash	11,000,000	
2		Class B Ordinary Shares		11,000,000
3		<i>To record issuance of Class B ordinary shares.</i>		
4				

- c. Contributed by the shareholders: \$14,271,000 (\$12,260,000 + \$2,011,000). Provided by profitable operations: \$872,403,000. This division suggests that the company has been successful because most of its shareholders' equity has come from profitable operations.
- d. Mustafa's shareholders' equity of \$886,674,000 means that the company's shareholders own \$886,674,000 of the business's assets.

Authorized, Issued, and Outstanding Shares

It's important to distinguish among three distinctly different numbers in relation to a company's shares:

1. **Authorized shares capital** is the maximum number of shares the company can issue under its constitution.
2. **Issued shares** is the number of shares the company has issued to its shareholders.
3. **Outstanding shares** are the number of shares that the shareholders own (that is, the number of shares outstanding in the hands of the shareholders). Outstanding shares are issued shares minus shares bought back by the company (more on this later).

Let's have a look at how these three concepts apply with L'Occitane.

EXCERPTS FROM L'OCCITANE'S NOTES TO THE 2011 FINANCIAL STATEMENTS

L'Occitane International S.A. is a corporation incorporated in the Grand Duchy of Luxembourg. The authorized capital of the Company is €1,500,000,000 out of which €44,309,000 is issued at March 31, 2011. All the shares of the Company are fully paid and benefit from the same rights and obligations.

There are no treasury shares held by the Group.

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L'Occitane's constitution authorizes it to have up to €1.5 billion share capital (which equals 50 billion shares at €0.03 par value per share). However, L'Occitane has only issued €44,309,000 (about 1,476 million shares) at March 31, 2011. This is the amount of shares issued, as well as the number of shares outstanding at the end of the 2011 financial year as L'Occitane did not have any treasury share.

» Stop & Think

What happens if a company has reached its limit of authorized share capital and yet wants to issue more shares?

Answers:

The shares limit (either in total share capital or number of shares) is one that is self-imposed and arbitrary in nature. A company can always ask its members in an Annual General Meeting (AGM) to ratify an increase (or decrease) in the authorized share capital.

This is the reason why some jurisdictions have removed the need for companies to state what their authorized share capital is.

Now, let's learn how treasury shares work.

ACCOUNT FOR TREASURY SHARES

A company's own shares that it has issued and later reacquired are called **treasury shares**.² In effect, the corporation holds these shares in its treasury. Many public companies spend millions of dollars each year to buy back their own shares. Corporations purchase their own shares for several reasons:

1. It offers employee share option compensation or an employee share ownership plan but it does not wish to issue new shares, so it buys the shares from the market and then passes them to employees upon exercise of the share options or purchase of the shares.
2. The management wants to avoid a takeover by an outside party.
3. The management wants to increase its reported earnings per share or EPS (net income/number of shares outstanding). Purchasing shares and holding them as treasury shares reduces outstanding shares, thus decreasing the denominator of this fraction and increasing EPS. More on EPS later in this chapter.

3 Account for treasury shares

How Are Treasury Shares Recorded?

To understand the way treasury share transactions work, it is helpful to analyze the changes that occur in the treasury share account during the year. L'Occitane did not have any treasury shares in the year it was listed. So let's fast forward a few years and look at L'Occitane in the financial year ended March 31, 2016. This is what L'Occitane says about its treasury shares:

ADAPTED EXCERPTS FROM L'OCCITANE NOTES TO THE ACCOUNTS

Treasury Shares

Where any Group's entity purchases the Group's equity share capital (treasury shares), the consideration paid, including any directly attributable incremental costs (net of income taxes), is deducted from equity attributable to the Group's equity owners. Where such shares are subsequently reissued, any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity.

continued on the following page

²In this text, we illustrate the *cost* method of accounting for treasury shares because it is used most widely. Other methods are presented in intermediate accounting courses.

	No. of shares	Amount (EUR)
Treasury shares at start of the financial year (April 1, 2015)	6,655,500	€9,247,000
Use of treasury shares for employee compensation	(933,330)	(1,296,000)
Purchase of treasury shares	<u>2,626,000</u>	<u>4,018,000</u>
Treasury shares at end of financial year (March 31, 2016)	<u>8,348,170</u>	<u>€11,969,000</u>

Source: L'Occitane 2016 Annual Report, page 100

Let's start with purchases of treasury shares. Treasury shares are recorded at cost (the market value of the share on the purchased date) without regard to the share's par value. The treasury share account is a *contra shareholders' equity* account. Therefore, the treasury share account carries a debit balance, the opposite of the other equity accounts. It is reported on the Balance Sheet as a negative amount, as a reduction to share capital or equity. In the fiscal year 2016, L'Occitane bought 2.6 million shares amounting to about €4 million. This would be recorded as below:

A1				
	A	B	C	D
1	2016	Treasury Shares	2,626,000	
2		Cash		2,626,000
3		<i>To record purchases of treasury shares.</i>		
4				

Notice that treasury shares are recorded at cost, which is the market price of the shares when acquired. The financial statement impact of the transaction is to decrease cash as well as shareholders' equity by \$4,018,000.

Assets	=	Liabilities	+	Shareholders' Equity
- 4,018,000	=	0	+	- 4,018,000

In summary, the purchase of treasury shares has the opposite effect of issuing shares:

- Issuing shares *grows* assets and equity.
- Purchasing treasury shares *shrinks* assets and equity.

Resale of Treasury Shares

Reselling treasury shares grows assets and equity exactly as issuing new shares does. The sale increases assets and equity by the full amount of cash received. Notice that the company *never records gains or losses on transactions involving its own treasury shares*. Rather, amounts received in excess of amounts originally paid for treasury shares are recorded as paid-in capital from treasury share transactions, thus bypassing the Income Statement. If the proceeds from the resale of treasury shares were less than the amounts originally paid to acquire them, the difference would be debited to paid-in capital.

L'Occitane did not resell any treasury shares in its fiscal year 2016. Let's assume it actually sold 10,000 treasury shares it bought at €1.50 for €2.00 per share. If this happened, L'Occitane would record:

A1				
	A	B	C	D
1	2016	Cash	20,000	
2		Treasury Shares		15,000
3		Share Capital		5,000
4		<i>To record resale of treasury shares.</i>		
5				

The impact of this resale would be:

Assets	=	Liabilities	+	Shareholders' Equity
+ 20,000	=	0	+	+ 15,000 + 5,000

On the other hand, what if L'Occitane had sold the treasury shares at €1.20 instead of €2.00?

A1				
	A	B	C	D
1	2016	Cash	12,000	
2		Share Capital	3,000	
3		Treasury Shares		15,000
4		<i>To record resale of treasury shares.</i>		
5				

Assets	=	Liabilities	+	Shareholders' Equity
+ 12,000	=	0	+	– 3,000 + 15,000

In both cases, note that any difference is not recognized as a gain or loss on the Income Statement, but is recognized directly in share capital (or additional paid-in capital, if any). This reinforces how we defined income and expenses in the *Conceptual Framework*. As resale of treasury shares represents transactions with owners (in their capacity as owners), any differences are not recognized as income or losses.

Issuing Treasury Shares as Compensation

This is probably the most common use of treasury shares. Many listed companies supplement key employees' salaries (and often also members of the board of directors) by granting them share options. This is covered in *IFRS 2 - Share-based Compensation* which is beyond the scope of this text. For now, we can just note that treasury shares may be reissued as share-based compensation to employees. You saw earlier that L'Occitane used 933,330 treasury shares for employee compensation (costing €1,296,000). L'Occitane would have recorded something similar to this (in aggregate):

A1				
	A	B	C	D
1	2016	Share Option Compensation	1,296,000	
2		Treasury Shares		1,296,000
3		<i>To record reissuance of treasury shares for employee share options.</i>		
4				
5				

Retiring Treasury Shares

A corporation may purchase its own shares and retire it by canceling the shares. The retired shares cannot be reissued. Suppose L'Occitane canceled 10,000 shares amounting to €15,000 during 2016.

A1				
	A	B	C	D
1	2016	Share Capital	15,000	
2		Treasury Shares		15,000
3		<i>To record cancellation of shares from treasury shares.</i>		
4				

Note that this cancellation will permanently reduce the amount of outstanding shares.

4 Account for other equity transactions

ACCOUNT FOR OTHER EQUITY TRANSACTIONS

Retained Earnings, Dividends, and Splits

The Retained Earnings account carries the balance of the business's net income, less its net losses and less any declared dividends that have been accumulated over the corporation's lifetime. *Retained* means "held onto." Successful companies grow by reinvesting back into the business the assets they generate through profitable operations.

Let's take another look at L'Occitane's financial statements at the start of this chapter. Notice that the Retained Earnings account grew from €67,774 to €167,275. You would remember that retained earnings are increased by the net profit for the year and decreased by the amount of dividends paid out. L'Occitane's net income for the year was €99,501,700 (plus €3,199 for non-controlling interest), and it didn't pay any dividends for 2011.

The Retained Earnings account is not a reservoir of cash for paying dividends to the shareholders. In fact, the corporation may have a large balance in Retained Earnings but not have enough cash to pay a dividend! Cash and Retained Earnings are two entirely separate accounts with no particular relationship. Retained Earnings says nothing about the company's cash balance. A credit balance in Retained Earnings is normal, indicating that the corporation's lifetime earnings exceed lifetime losses and dividends. The earnings may have been spent on buying more assets or paying off debts. A debit balance in Retained Earnings arises when a corporation's lifetime losses and dividends exceed lifetime earnings. Called a **deficit**, this amount is subtracted to determine total shareholders' equity.

Should the Company Declare and Pay Cash Dividends?

A **dividend** is a distribution by a corporation to its shareholders, usually based on earnings. Dividends usually take one of three forms:

1. Cash
2. Shares
3. Non-cash assets

In this section we focus on cash dividends and share dividends because non-cash dividends are rare. For a non-cash asset dividend, debit Retained Earnings and credit the asset (for example, Long-Term Investment) for the current market value of the asset given.

Cash Dividends

Most dividends are cash dividends. To have cash dividends, a company must have both:

- enough Retained Earnings to *declare* the dividend (as many jurisdictions prohibit distribution of dividends from capital); and
- enough Cash to *pay* the dividend.

A corporation declares a dividend before paying it. A company may pay dividends once a year, twice a year, or sometimes every quarter. Usually, the largest dividend is the one that follows the end of the financial year when financial results are published and the corporation's annual general meeting (AGM) is held. This is called the "final dividend." Other dividends during the financial year are thus called "interim dividends."

Interim dividends are declared by the board of directors and become payable immediately. The final dividend is recommended by the board but requires shareholder approval in an AGM and is not payable until the shareholders vote to do so. Thus, the dividend paid during one financial year typically starts with the prior year's final dividends plus the current year's interim dividends, if any.

There are three relevant dates for dividends (using assumed amounts and dates):

1. **Declaration date, June 19.** On the declaration date, the board of directors announces the dividend. If it is for an interim dividend, the declaration of the dividend creates a liability for the corporation. If it is for a final dividend, it will have to be approved by shareholders at the AGM. Declaration (or shareholder approval, if it is for a final dividend) is recorded by debiting Retained Earnings and crediting Dividends Payable. Assume a \$50,000 dividend was declared and approved.

A1				
	A	B	C	D
1	Jun. 19	Retained Earnings ³	50,000	
2		Dividends Payable		50,000
3		<i>Declared a cash dividend.</i>		
4				

Liabilities increase, and equity goes down.

Assets	=	Liabilities	+	Shareholders' Equity
0	=	+ 50,000	+	− 50,000

2. **Date of record, July 1.** As part of the declaration, the corporation announces the record date (or book closure date), which follows the declaration date by a few weeks. The shareholders on the record date will receive the dividend. You don't need to own shares of a company for a whole period to receive the dividends for the period. You just have to make sure you own the shares at book closure date! There is no journal entry for the date of record.
3. **Payment date, July 10.** Payment of the dividend usually follows the record date by a week or two. Payment is recorded by debiting Dividends Payable and crediting Cash.

A1				
	A	B	C	D
1	Jul. 10	Dividends Payable	50,000	
2		Cash		50,000
3		<i>Paid cash dividend.</i>		
4				

Both assets and liabilities decrease.

Assets	=	Liabilities	+	Shareholders' Equity
− 50,000	=	− 50,000	+	0

The net effect of a dividend declaration and its payment, as shown in steps 1, 2, and 3 above, is a decrease in assets and a corresponding decrease in shareholders' equity.

Dividends on Preference Shares

When a company issues both preference and ordinary shares, the preference shareholders receive their dividends first. The ordinary shareholders receive dividends only if the total dividend is large enough to pay the preference shareholders first.

Dividends for preference shares are usually described as a percentage of par value. For example, preference shares may be labeled "6%," which means that owners of the preference shares receive an annual dividend equal to 6% of the preference share's par value. If the preference shares are no-par shares, then it will be based on the share's issuance price.

Consider this example. Avant Garde, Inc., has 100,000 2% preference shares (par value of \$100) outstanding in addition to its ordinary shares. The 2% designation means that the preference shareholders receive an annual cash dividend of $2\% \times \$100$ par value per share. In 20X6, Avant Garde declares an annual dividend of \$500,000. The allocation to preference and ordinary shareholders is:

³ In the early part of this book, we debited a Dividends account to clearly identify the purpose of the payment. From here on, we follow the more common practice of debiting the Retained Earnings account for dividend declarations.

Preference dividend (100,000 shares $\times$ 20% per share)	\$200,000
Ordinary dividend (remainder: \$500,000 – \$200,000)	300,000
Total dividend.....	\$500,000

If Avant Garde declares only a \$250,000 dividend, preference shareholders receive \$200,000, and the ordinary shareholders get the remainder, \$50,000 (\$250,000 – \$200,000).

Dividends on Cumulative and Non-Cumulative Preference Shares

Preference shareholders are typically promised a fixed return for their investments. What happens if the company was not able to make payments for the preference dividends? This is not a common occurrence because companies do not want to lose their preference shareholders' faith in them and it would send a negative signal to the market. But it is possible that corporations may fail to pay a dividend to preference shareholders. This is called *passing the dividend*, and the passed dividends are said to be *in arrears*.

In some jurisdictions, preference shares are automatically “cumulative,” unless the constitution specifically declares them to be non-cumulative. This means that the owners of **cumulative preference shares** must receive all dividends in arrears plus the current year's dividend before any dividends go to the ordinary shareholders. In this sense, cumulative dividends almost take on the flavor of accrued interest on long-term debt, but not quite. Although cumulative dividends must be paid before other dividends, they must still be declared by the company's board of directors. In contrast, interest on long-term debt doesn't have to go through a formal approval process by the board.

Here's an example of how cumulative dividends work. The preference shares of Avant Garde, Inc., are cumulative. Suppose Avant Garde passed the preference dividend of \$200,000 in 20X6. Before paying dividends to ordinary shares in 20X7, Avant Garde must first pay preference dividends of \$200,000 for both 20X6 and 20X7, a total of \$400,000. On September 6, 20X7, Avant Garde declares a \$500,000 dividend. The entry to record the declaration is:

A1				
	A	B	C	D
1	20X6	Retained Earnings	500,000	
2		Dividends Payable, Preference (\$200,000 $\times$ 2)		400,000
3		Dividends Payable, Ordinary (\$500,000 – \$400,000)		100,000
4		<i>To declare a cash dividend.</i>		
5				

If the preference shares are non-cumulative, the corporation is not obligated to pay dividends in arrears—until the board of directors declares such dividends.

Share Dividends

A **share dividend** is a proportional distribution by a corporation of its own shares to its shareholders. Share dividends increase the Share Capital account and decrease Retained Earnings. Total equity is unchanged, and no asset or liability is affected.

The corporation distributes share dividends to shareholders in proportion to the number of shares they already own. If you own 1,000 shares of L'Occitane's ordinary shares and the company distributes a 10% ordinary share dividend, you get 100 (1,000 $\times$ 0.10) additional shares. You would then own 1,100 shares. All other shareholders would also receive 10% more shares, leaving all shareholders' ownership unchanged.

In distributing share dividends, the corporation gives up no assets. Why, then, do companies issue share dividends? A corporation may choose to distribute share dividends for these reasons:

- **To continue dividends but conserve cash.** A company may need to conserve cash and yet wish to continue dividends in some form. So the corporation may distribute shares as dividends instead.

- **To reduce the market price of its share.** Distribution of a share dividend usually causes the share's market price to fall because of the increased number of outstanding shares that result from it. The objective is to make the shares less expensive and therefore attractive to more investors.

Let's continue with our example. Suppose at some time in 20X8, L'Occitane declared the 10% share dividend when the share is trading at €10 per share. Assuming that there are 20,000,000 shares outstanding at the time of the share dividend, L'Occitane.com would record the share dividend as follows:

A1				
	A	B	C	D
1	20X8	Retained Earnings ⁴ (20,000,000 shares		
2		outstanding $\times$ 0.10 share dividend $\times$ €10		
3		market value per share)	20,000,000	
4		Ordinary Share (20,000,000 $\times$ 0.10 $\times$ €0.03		
5		par value per share)		60,000
6		Paid-in Capital in Excess of Par		19,940,000
7		Distributed a 10% share dividend.		
8				

The accounting equation clearly shows that a share dividend has no effect on total assets, liabilities, or equity. The increases in equity offset the decreases, and the net effect is zero.

Assets	=	Liabilities	+	Shareholders' Equity
				– 20,000,000
0	=	0	+	+ 60,000
				+ 19,940,000

Stock Splits

A **stock split** is an increase in the number of shares authorized, issued, and outstanding, coupled with a proportionate reduction in the share's par value. For example, if the company splits its shares 2 for 1, the number of outstanding shares is doubled and each share's par value is halved. A stock split, like a large share dividend, decreases the market price of the share—with the intention of making the share more attractive in the market. Stock splits are usually undertaken by companies that feel a lower share price would enable more investors to participate in the company's shares. A lower share price also allows a more active or liquid market. Nothing really changes with the company; it still makes the same profit and it still has the same assets. All that changes is the denomination of shares. It is not much different than you changing a \$10 note into ten \$1 notes or two \$5 notes.

Stock splits are more popular with North American companies than companies in other parts of the world. For example, Microsoft, Nike, NVIDIA Corp (makers of computer graphic cards), and Porsche have all carried out some stock splits in recent years.

Suppose the market price of a share of Ryssa Biscuits Factory Ltd. is approximately €0.50. Assume that Ryssa Biscuits Factory Ltd. wishes to decrease the market price to approximately €0.25 per share. Ryssa Biscuits Factory Ltd. can split its shares 2 for 1, and the share price will fall to around €0.25. A 2-for-1 stock split means that:

- the company will have twice as many shares authorized, issued, and outstanding after the split as it had before;
- each share's par value will be cut in half.

⁴Many companies debit Additional Paid-in Capital for their share dividends.

Before the split, Ryssa Biscuits Factory Ltd. had approximately 250 million shares of €0.50 par ordinary shares issued and outstanding. Compare Ryssa Biscuits Factory Ltd.'s shareholders' equity before and after a 2-for-1 stock split:

	A1			
	A	B	C	D
1	Ryssa Biscuits Factory Ltd.'s Shareholders' Equity			
2	Before 2-for-1 Stock Split	(In millions)	After 2-for-1 Stock Split	(In millions)
3	Ordinary share, €0.50 par,		Ordinary share, €0.25 par,	
4	500 shares authorized,		1,000 shares authorized,	
5	250 shares issued	€ 125	500 shares issued	€ 125
6	Additional paid-in capital	643	Additional paid-in capital	643
7	Retained earnings	4,304	Retained earnings	4,304
8	Other equity	260	Other	260
9	Total shareholders' equity	€5,332	Total shareholders' equity	€5,332
10				

All account balances are the same after the stock split as before. Only three Ryssa Biscuits Factory Ltd. items are affected:

1. Par value per share drops from €0.50 to €0.25.
2. Shares *authorized* double from 500 to 1,000 (both in millions).
3. Shares *issued* double from 250 to 500 (both in millions).

Total equity doesn't change, nor do any assets or liabilities.

A stock split does not require any journal entry. The record of the split will be a note in the company's corporate action log and share registry.

Summary of the Effects on Assets, Liabilities, and Shareholders' Equity

We've seen how to account for the basic shareholders' equity transactions:

- issuance of shares—ordinary and preference shares
- purchase and sale of treasury shares
- cash dividends
- share dividends and stock splits

How do these transactions affect assets, liabilities, and equity? Exhibit 10-6 provides a helpful summary.

Exhibit 10-6 | Effects on Assets, Liabilities, and Equity

Transaction	Assets	=	Effect on Total Liabilities	+	Shareholders' Equity
Issuance of share—ordinary and preference shares	Increase		No effect		Increase
Purchase of treasury share	Decrease		No effect		Decrease
Sale of treasury share	Increase		No effect		Increase
Declaration of cash dividend	No effect		Increase		Decrease
Payment of cash dividend	Decrease		Decrease		No effect
Share dividend	No effect		No effect		No effect*
Stock split	No effect		No effect		No effect

*The share capital account increases and retained earnings decrease by offsetting amounts that net to zero.

UNDERSTAND THE DIFFERENT VALUES OF SHARES

The business community measures *share values* in various ways, depending on the purpose of the measurement. These values include market value, redemption value, liquidation value, and book value.

5 Understand the different values of shares

Market, Redemption, Liquidation, and Book Value

A share's **market value**, or *market price*, is the price at which a person can buy or sell one share. Market value varies with the corporation's net income, financial position, and future prospects, and with general economic conditions. *In almost all cases, shareholders are more concerned about a share's market value than any other share value.*

L'Occitane market price per share is about 15 HKD (about USD 1.93 or €1.82) in May 2012. Multiply this price per share by the shares outstanding (slightly less than 1.5 billion shares), and we can say that L'Occitane's **market capitalization** is about 22.2 billion HKD (or \$2.8 billion or €2.7 billion).

Is L'Occitane's HKD 15 per share market value too high, too low, or just about right? Should an investor buy or sell the shares? This is the question that all financial analysts and investors struggle with every day with every stock. There are many reasons why share prices fluctuate. A company's share price may be impacted by its own actions, industry changes, and state of the wider local, regional, or global economy, as well as other psychological reasons driven by emotions and sentiments. Many financial analysts employ stock valuation formulas in an effort to estimate the intrinsic value (or target price) of a share. In other words, they try to see if the market price is at, below, or above this expected value. If market price is higher, then they would recommend a "sell," and if market price is lower, they would recommend a "buy." These valuation techniques use numbers and assumptions based on the company's financial statements.

A preference share that requires the company to redeem the share at a set price is called a redeemable preference share. The company is obligated to redeem (pay to retire) the *preference shares*. The price the corporation agrees to pay for the share, set when the share is issued, is called the **redemption value**. **Liquidation value** is the amount that a company must pay a preference shareholder in the event the company liquidates (sells out) and goes out of business. Not all jurisdictions practice this concept of redemption or liquidation value.

The book value per ordinary share is the amount of owners' equity on the company's books for each ordinary share. If the company has only ordinary shares outstanding, its book value is computed by dividing total equity by the number of shares of ordinary shares *outstanding*. Recall that outstanding shares are equal to issued shares minus treasury shares, if any. For example, a company with shareholders' equity of \$150,000 and 5,000 ordinary shares outstanding has a book value of \$30 per share (\$150,000 ÷ 5,000 shares).

If the company has both preference and ordinary shares outstanding, the preference shareholders have the first claim to owners' equity. Preference shares may have a specified redemption value. The preference component of equity is its redemption value plus any cumulative preference dividends in arrears. The book value per share of ordinary shares is then computed as follows:

$$\text{Book value per ordinary share} = \frac{\text{Total shareholders' equity} - \text{Preference equity}}{\text{Number of ordinary shares outstanding}}$$

Let's consider an example. Crusader Corporation's Balance Sheet reports the following amounts:

A1	
1	Shareholders' Equity
2	Preference shares, 5%, \$100 par, 400 shares issued,
3	redemption value \$130 per share
4	Ordinary shares, \$10 par, 5,500 shares issued
5	Additional paid-in capital—ordinary shares
6	Retained earnings
7	Treasury share, 500 ordinary shares at cost
8	Total shareholders' equity
9	

Assume Crusader's cumulative preference dividends are in arrears for four years (including the current year). Crusader's preference shares have a redemption value of \$130 per share. The book-value-per-share computations for Crusader Corporation are:

Preference Equity	
Redemption value (400 shares $\times$ \$130)	\$52,000
Cumulative dividends (\$40,000 $\times$ 0.05 $\times$ 4 years)	8,000
Preference equity	<u>\$60,000*</u>
Ordinary Equity	
Total shareholders' equity	\$240,000
Less preference equity	<u>(60,000)</u>
Ordinary equity	<u>\$180,000</u>
Book value per share [$\$180,000 \div 5,000$ shares outstanding (5,500 shares issued minus 500 treasury shares)]	<u>\$ 36</u>

*If the preference share had no redemption value, then preference equity would be \$40,000 + preference dividends in arrears.

Some investors search for shares whose market price is below book value. They believe this indicates a good buy. Financial analysts often shy away from companies with a share price at or below book value. To these investors, such a company is in trouble. As you can see, not all investors agree on a share's value. In fact, wise investors base their decisions on more than a single ratio. Later (in Chapter 12), you'll see the full range of financial ratios, plus a few more analytical techniques.

Reporting Shareholders' Equity Transactions

Statement of Cash Flows

Many of the transactions we've covered are reported on the statement of cash flows. Equity transactions are *financing activities* because the company is dealing with its owners. Financing transactions that affect both cash and equity fall into three main categories:

1. issuance of shares
2. treasury shares
3. dividends

Issuances of Shares. During 2011, L'Occitane's IPO generated a significant cash inflow to the company, amounting to over €300 million. This was a financing activity, as shown in Exhibit 10-7.

Exhibit 10-7 | L'Occitane's Statement of Cash Flows

A1			
A		B	C
L'Occitane Consolidated Cash Flow Statement		For the Year Ended March 31	
1		2011	2010
2	(Adapted, in thousands of euros)		
3	Cash flow from operating activities	98,911	138,114
4	Cash flow from investing activities	(49,432)	(35,614)
5	Proceeds from share issuance	300,198	206
6	Other financing activities	(86,836)	(88,668)
7	Cash flow from financing activities	213,362	(88,462)
8	Net cash flow	262,841	14,038
9			

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CASH
FLOW

Treasury Share. L'Occitane does not hold any treasury shares. If it had purchased (or sold) treasury shares, they would be reported under cash flow from financing activities as well.

Dividends. Most companies pay cash dividends to their shareholders. Dividend payments are a type of financing transaction because the company is paying its shareholders for the use of their money. L'Occitane did not pay any dividends in 2011. Share dividends are not reported in the statement of cash flows because the company pays no cash for them.

In Exhibit 10-7, cash receipts appear as positive amounts and cash payments as negative amounts, denoted by parentheses.



EVALUATE A COMPANY'S RETURN TO EQUITY HOLDERS

Investors search for companies whose shares are likely to increase in value. They're constantly comparing companies. But a comparison of L'Occitane with a new Internet start-up may not be meaningful. L'Occitane's profits run into the millions, which would far exceed a new start-up's net income. Does this automatically make L'Occitane a better investment? Not necessarily. To compare companies of different size, investors use some standard profitability measures, including:

6 Evaluate a company's return to equity holders

- earnings per share
- return on equity

Earnings Per Share (EPS). Earnings per ordinary share is the company's net income divided by its *outstanding ordinary shares*. The **EPS** is a key measure of a business's success because it shows how much income the company earned for each share. Share prices are quoted at an amount per share, and investors buy a certain number of shares. The EPS is used to help determine the value of a share. The EPS is computed as follows:

$$\text{Earnings per share} = \frac{\text{Net income} - \text{Preferred dividends}}{\text{Average number of ordinary shares outstanding}}$$

IAS 33—Earnings per share requires a reporting entity to disclose its EPS on its Income Statement. Note that two EPS computations are made: one for “basic” (the currently outstanding shares) and one for “diluted” (which takes into account potential increases in outstanding shares). In both cases, companies must first compute a weighted average number of shares outstanding. This computation takes into account the changes that might occur in the number of shares outstanding during the year from such things as treasury share purchases or reissuances and is only possible if you have access to the detailed daily outstanding ordinary shares of the company. L'Occitane reported the following:

EXCERPTS (ADAPTED) FROM L'OCCITANE'S NOTES TO THE 2016 FINANCIAL STATEMENTS

Basic earnings per share are calculated by dividing the profit attributable to equity owners of the Company by the weighted average number of ordinary shares in issue during the year.

Profit for the year attributable to equity holders of the company	€110,343,000
Weighted average number of ordinary shares in issue	1,468,616,721
Basic and Diluted Earnings per share	€0.075

Holders of preference shares have first claim on dividends. Therefore, preference dividends must be subtracted from net income to compute EPS. L'Occitane has only one class of ordinary shares outstanding. Since there are no preference shares, there is no corresponding deduction for preference dividends in L'Occitane's EPS calculation.

Return on Equity. **Rate of return on ordinary equity**, often simply called **return on equity (ROE)**, shows the relationship between net income available and average ordinary shareholders' equity. Return on equity is computed only on ordinary equity because the return to preference shareholders is the specified dividend (for example, 5%). The numerator of return on equity is net income minus preference dividends, if any. The denominator is *average ordinary shareholders' equity*—total *shareholders' equity* minus preference equity. Since L'Occitane does not have any preference shares, we will only use net income and average equity in the calculations that follow.

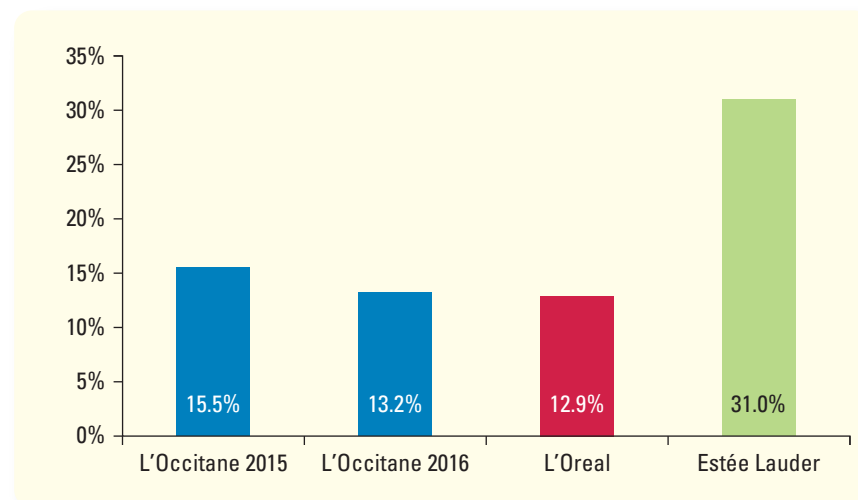
Return on Equity	L'Occitane 2016	L'Occitane 2015
$\frac{\text{Net income}}{\text{Average equity}^*}$	$\frac{113,555}{857,874} = 13.2\%$	$\frac{125,578}{811,488} = 15.5\%$

**Average = (beginning + ending balance)/2, which is (855,557 + 860,191)/2 for 2016.*

As L'Occitane does not have preference shares, we have no preference dividends to subtract from net income on the numerator. Similarly, the denominator is simply average total shareholders' equity. L'Occitane's ROE has dropped from 15.5% in 2015 to 13.2% in 2016. Investors and creditors use ROE to compare companies' performance. The higher the rate of return, the more successful the company. In many industries, an ROE of 15% to 20% is considered a good ROE, depending on the amount of leverage a company takes.

Let's add some context to L'Occitane 13.2% ROE by comparing it to that of L'Oreal (which also owns The Body Shop amongst its many brands) and Estée Lauder. When compared to the other two companies, shown in Exhibit 10-8, we can see that L'Occitane and

Exhibit 10-8 ROE Comparisons



Estée Lauder, with ROE of 31%, on the other hand, seems to be two times better than L'Occitane and L'Oreal.

A word of caution: Remember we said earlier that ROE depends on a company's level of indebtedness. You can increase ROE simply by incurring more debt (and thus a lower equity). L'Occitane, L'Oreal, and Estée Lauder debt ratios are about 28%, 30%, and 61%, respectively. One technique that clearly demonstrates the components of ROE is called the **DuPont Analysis**. We will discuss this later in Chapter 12.

The Decision Guidelines feature offers suggestions for what to consider when investing in shares.



DECISION GUIDELINES

INVESTING IN SHARES

Suppose you've saved \$5,000 to invest. You visit a nearby Standard Chartered Bank office, where the financial analyst probes for your risk tolerance. Are you investing mainly for dividends or for growth in the share price? You must make some key decisions.

Investor Decision

Which category of shares to buy for:

- A safe investment?
- Steady dividends?
- Increasing dividends?
- Increasing share price?

How to identify a good share to buy?

Guidelines

Preference shares are safer than ordinary shares, but for even more safety, invest in high-grade corporate bonds or government securities.

Cumulative preference shares. However, the company is not obligated to declare preference dividends, and the dividends are unlikely to increase.

Ordinary shares, as long as the company's net income is increasing, it has a history of paying regular dividends, and it has sufficient cash flows.

Ordinary shares, but again only if the company's net income and cash flow are increasing.

There are many ways to pick share investments. One strategy that works reasonably well is to invest in companies that consistently earn higher rates of return on assets and on equity than competing firms in the same industry. Also, select industries that are expected to grow.

1. The Balance Sheet of Trendline Corp. reported the following at December 31, 20X6.

A1		
	A	B
1	Shareholders' Equity	
2	Preference share, 4%, \$10 par, 10,000 shares authorized	
3	and issued (redemption value, \$110,000)	\$100,000
4	Ordinary share, no-par, \$5 stated value, 100,000 shares	
5	authorized, 50,000 shares issued	250,000
6	Paid-in capital in excess of par or stated value:	
7	Ordinary share	239,500
8	Retained earnings	395,000
9	Less: Treasury share, Ordinary (1,000 shares)	(8,000)
10	Total shareholders' equity	\$976,500
11		

Requirements

- Is the preference share cumulative or non-cumulative? How can you tell?
 - What is the total amount of the annual preference dividend?
 - How many ordinary shares are outstanding?
 - Compute the book value per share of the ordinary share. No preference dividends are in arrears, and Trendline has not yet declared the 20X6 dividend.
2. Use the following accounts and related balances to prepare the classified Balance Sheet of Whitehall, Inc., at September 30, 20X7. Use the account format of the Balance Sheet.

Ordinary share, \$1 par, 50,000 shares authorized, 20,000 shares issued.....	20,000	Long-term note payable.....	80,000
Dividends payable.....	4,000	Inventory.....	85,000
Cash	9,000	Property, plant and equipment, net.....	226,000
Accounts payable.....	28,000	Accounts receivable, net.....	23,000
Paid-in capital in excess of par—Ordinary share.....	115,000	Preference share, \$3.75, no-par, 10,000 shares authorized, 2,000 shares issued.....	24,000
Treasury share, Ordinary, 1,000 shares at cost.....	6,000	Accrued liabilities.....	3,000
		Retained earnings.....	75,000

Answers

- The preference shares are cumulative because they are not specifically labeled otherwise.
 - Total annual preference dividend: \$4,000 ($\$100,000 \times 0.04$).
 - Ordinary shares outstanding: 49,000 (50,000 issued – 1,000 treasury).
 - Book value per share of ordinary share:

Ordinary:

Total shareholders' equity	\$976,500
Less shareholders' equity allocated to preference.....	(114,000)*
Shareholders' equity allocated to ordinary	<u>\$862,500</u>
Book value per share (\$862,500 ÷ 49,000 shares)	<u>\$17.60</u>

*Redemption value	\$110,000
Cumulative dividend (\$100,000 × 0.04).....	4,000
Shareholders' equity allocated to preference.....	<u>\$114,000</u>

2.

A1					
	A	B	C	D	E
1	Whitehall, Inc. Balance Sheet September 30, 20X7				
2	Assets		Liabilities		
3	Current		Current		
4	Cash	\$ 9,000	Account payable		\$ 28,000
5	Accounts receivable, net	23,000	Dividends payable		4,000
6	Inventory	85,000	Accrued liabilities		3,000
7	Total current assets	117,000	Total current liabilities		35,000
8	Property, plant and		Long-term note payable		80,000
9	equipment, net	226,000	Total liabilities		115,000
10					
11			Shareholders' Equity		
12			Preference share, \$3.75, no par,		
13			10,000 shares authorized,		
14			2,000 shares issued	\$ 24,000	
15			Ordinary share, \$1 par,		
16			50,000 shares authorized,		
17			20,000 shares issued	20,000	
18			Paid-in capital in excess of		
19			par—ordinary shares	115,000	
20			Retained earnings	75,000	
21			Treasury share, ordinary,		
22			1,000 shares at cost	(6,000)	
23			Total shareholders' equity		228,000
24			Total liabilities and		
25	Total assets	\$ 343,000	shareholders' equity		\$ 343,000
26					

REVIEW | Shareholders' Equity

Quick Check (Answers are given at the end of the chapter.)

- Harvey Company is authorized to issue 50,000 shares of \$25 par ordinary share. On May 30, 20X6, Harvey issued 25,000 shares at \$45 per share. Harvey's journal entry to record these facts should include
 - a credit to Paid-in Capital in Excess of Par for \$1,125,000.
 - a debit to ordinary shares for \$1,125,000.
 - a credit to ordinary shares for \$625,000.
 - both a and c.

Questions 2–5 use the following account balances of Machado Co. at August 31, 20X6:

Dividends Payable	\$ 12,500	Cash.....	\$111,000
Preference Shares, \$150 par	375,000	Ordinary Shares, \$5 par.....	640,000
Paid-in Capital in Excess of Par—		Retained Earnings	325,000
Ordinary Shares	60,000		

2. How many ordinary shares has Machado issued?
 - a. 128,000
 - b. 700,000
 - c. 375,000
 - d. Some other amount
3. Machado's total paid-in capital at August 31, 20X6, is
 - a. \$1,387,500.
 - b. \$1,075,000.
 - c. \$1,498,500.
 - d. \$1,400,000.
4. Machado's total shareholders' equity as of August 31, 20X6, is
 - a. \$1,387,500.
 - b. \$1,075,000.
 - c. \$1,498,500.
 - d. \$1,400,000.
5. What would Machado's total shareholders' equity be if Machado had \$10,000 of treasury shares?
 - a. \$1,390,000
 - b. \$1,488,500
 - c. \$1,065,000
 - d. \$1,377,500
6. Sycamore Corporation purchased treasury shares in 2010 at a price of \$20 per share and resold the treasury shares in 20X7 at a price of \$35 per share. What amount should Sycamore report on its Income Statement for 20X7?
 - a. \$20 gain per share
 - b. \$15 gain per share
 - c. \$35 gain per share
 - d. \$0
7. The shareholders' equity section of a corporation's Balance Sheet reports

Discount on Bonds Payable	Treasury Shares
a. No	No
b. Yes	Yes
c. No	Yes
d. Yes	No
8. The purchase of treasury shares
 - a. has no effect on total assets, total liabilities, or total shareholders' equity.
 - b. decreases total assets and decreases total shareholders' equity.
 - c. increases one asset and decreases another asset.
 - d. decreases total assets and increases total shareholders' equity.
9. When does a cash dividend become a legal liability?
 - a. On date of record.
 - b. On date of declaration and approval.
 - c. On date of payment.
 - d. It never becomes a liability because it is paid.
10. When do dividends increase shareholders' equity?
 - a. On date of payment.
 - b. On date of declaration.
 - c. On date of record.
 - d. Never.
11. Apple Tree Mall, Inc., has 2,000 shares of 2%, \$25 par cumulative preference shares and 125,000 shares of \$2 par ordinary shares outstanding. At the beginning of the

current year, preference dividends were four years in arrears. Apple Tree's board of directors wants to pay a \$2.50 cash dividend on each share of outstanding ordinary shares in the current year. To accomplish this, what total amount of dividends must Apple Tree declare?

- a. \$312,500
- b. \$317,500
- c. \$318,750
- d. Some other amount

12. Share dividends

- a. have no effect on total shareholders' equity.
- b. reduce the total assets of the company.
- c. increase the corporation's total liabilities.
- d. are distributions of cash to shareholders.

13. What is the effect of a share dividend and a stock split on total assets?

<i>Share dividend</i>	<i>Stock split</i>
a. Decrease	Decrease
b. No effect	Decrease
c. Decrease	No effect
d. No effect	No effect

14. A 2-for-1 stock split has the same effect on the number of shares being issued as a

- a. 200% share dividend.
- b. 50% share dividend.
- c. 20% share dividend.
- d. 100% share dividend.

15. The denominator for computing earnings per share is

- a. weighted average number of ordinary shares outstanding during the year.
- b. weighted average number of preference shares outstanding during the year.
- c. number of all shares outstanding at year-end.
- d. number of ordinary shares outstanding at year-end.

16. The numerator for computing the rate of return on ordinary equity is

- a. net income.
- b. net income minus interest expense.
- c. net income plus preference dividends.
- d. net income minus preference dividends.

Accounting Vocabulary

authorized share capital (p. 582) Maximum number of shares a corporation can issue under its constitution.

board of directors (p. 571) Group elected by the shareholders to set policy for a corporation and to appoint its officers.

book value (of a share) (p. 579) Amount of owners' equity on the company's books for each share.

chairperson (p. 571) Elected by a corporation's board of directors, usually the most influential person in the corporation. Usually referred to as chairman.

contributed capital (p. 572) The amount of shareholders' equity that shareholders have contributed to the corporation. Also called *paid-in capital* or *share capital*.

cumulative preference share (p. 588) Preference share whose owners must receive all dividends in arrears before the corporation can pay dividends to the ordinary shareholders.

deficit (p. 586) Retained Earnings account with a debit balance. Also called accumulated losses.

dividend (p. 586) Distribution of assets (usually cash) by a corporation to its shareholders.

DuPont Analysis (p. 595) A method of examining components of Return on Equity (ROE): net profit margin x asset turnover x equity multiplier.

earnings per share (EPS) (p. 593) Amount of a company's net income per share of its outstanding ordinary shares.

issued share (p. 582) Number of shares a corporation has issued to its shareholders.

limited liability (p. 570) No personal obligation of a shareholder for corporation debts. A shareholder can lose no more on an investment in a corporation's share than the cost of the investment.

liquidation value (p. 591) The amount a corporation must pay a preference shareholder in the event the company liquidates and goes out of business, after settling liabilities.

market capitalization (p. 591) A measure of the size of a listed company, equal to the share price multiplied by the number of shares outstanding.

market value (of a share) (p. 591) Price for which a person could buy or sell a share.

ordinary share (p. 574) The most basic form of capital shares. The ordinary shareholders own a corporation.

outstanding share (p. 582) Share in the hands of shareholders calculated as issued shares less treasury shares, if any.

paid-in capital (p. 572) The amount of shareholders' equity that shareholders have contributed to the corporation. Also called *contributed capital* or *share capital*.

par value (p. 574) Arbitrary amount assigned by a company to a share.

preference share (p. 574) Share that gives its owners certain advantages, such as the priority to receive dividends before the ordinary shareholders and the priority to receive assets before the ordinary shareholders if the corporation liquidates.

redeemable preference shares (p. 574) A corporation reserves the right to buy an issue of shares back from its shareholders, with the intent to retire the share.

redemption value (p. 591) The price a corporation agrees to eventually pay for its redeemable preference shares, set when the share is issued.

retained earnings (p. 572) The amount of shareholders' equity that the corporation has earned through profitable operation of the business and has not given back to shareholders.

return on ordinary equity (ROE) (p. 594) Net income minus preference dividends, divided by average ordinary shareholders' equity. A measure of profitability.

share (p. 570) Share into which the owners' equity of a corporation is divided.

share capital (p. 572) The amount of shareholders' equity that shareholders have contributed to the corporation. Also called *contributed capital* or *paid-in capital*.

share dividend (p. 588) A proportional distribution by a corporation of its own shares to its shareholders.

shareholder (p. 570) A person who owns shares in a corporation.

shareholders' equity (p. 572) The shareholders' ownership interest in the assets of a corporation.

stock split (p. 589) An increase in the number of authorized, issued, and outstanding shares coupled with a proportionate reduction in the share's par value and market price per share.

treasury share (p. 583) A corporation's own share that it has issued and later reacquired.

ASSESS YOUR PROGRESS

Short Exercises

L0 1

S10-1. (Learning Objective 1: Explaining advantages and disadvantages of a corporation)

What are two main advantages that a corporation has over a proprietorship and a partnership? What are two main disadvantages of a corporation?

L0 1

S10-2. (Learning Objective 1: Describing the authority structure in a corporation) Consider the authority structure in a corporation, as illustrated in Exhibit 10-2.

1. What group holds the ultimate power in a corporation?
2. Who is the most influential person in the corporation? What's the abbreviation of this person's title?
3. Who's in charge of day-to-day operations? What's the abbreviation of this person's title?
4. Who's in charge of accounting and finance? What's the abbreviation of this person's title?

L0 1

S10-3. (Learning Objective 1: Describing characteristics of preference and ordinary shares)

Answer the following questions about the characteristics of a corporation's shares:

1. Who are the real owners of a corporation?
2. What privileges do preference shareholders have over ordinary shareholders? What disadvantages do they have?
3. Which class of shareholders reaps greater benefits from a highly profitable corporation? Explain.

S10-4. (Learning Objective 1: Organizing a corporation) Kitty Page and Jean Scott are opening a Submarine's deli. Page and Scott need outside capital, so they plan to organize the business as a corporation. They come to you for advice. Write a memorandum informing them of the steps in forming a corporation. Identify specific documents used in this process, and name the different parties involved in the ownership and management of a corporation.

L0 1

S10-5. (Learning Objective 2: Describing the effect of a shares issuance on paid-in capital) SHOE received \$75,000,000 for the issuance of its shares on April 24. The par value of the SHOE shares was only \$75,000. Was the excess amount of \$74,925,000 a profit to SHOE? If not, what was it?

L0 2

Suppose the par value of the SHOE share had been \$2 per share, \$12 per share, or \$15 per share. Would a change in the par value of the company's share affect SHOE's total paid-in capital? Give the reason for your answer.

S10-6. (Learning Objective 2: Issuing shares—par value share and no-par share) At fiscal year-end 2010, Harry Printer and Delightful Doughnuts reported these adapted amounts on their Balance Sheets (amounts in millions):

L0 2

A1			
	A	B	C
1		Harry Printer:	
2		Ordinary shares, 1 cent par value, 2,400 shares issued	\$ 24
3		Additional paid-in capital	17,200
4			

A1			
	A	B	C
1		Delightful Doughnuts:	
2		Ordinary shares, no-par value, 64 shares issued	\$ 294
3			

Assume each company issued its shares in a single transaction. Journalize each company's issuance of its shares, using its actual account titles. Explanations are not required.

S10-7. (Learning Objective 2: Issuing shares to finance the purchase of assets) This short exercise demonstrates the similarity and the difference between two ways to acquire PPE.

L0 2

Case A—Issue shares and buy the assets in separate transactions:

Ashley, Inc., issued 10,000 shares of its \$20 par ordinary shares for cash of \$850,000. In a separate transaction, Ashley used the cash to purchase a building for \$620,000 and equipment for \$230,000. Journalize the two transactions.

Case B—Issue shares to acquire the assets in a single transaction:

Ashley, Inc., issued 10,000 shares of its \$20 par ordinary shares to acquire a building valued at \$620,000 and equipment worth \$230,000. Journalize this transaction.

Compare the balances in all the accounts after making both sets of entries. Are the account balances similar or different?

L0 2**S10-8. (Learning Objective 2: Preparing the shareholders' equity section of a Balance Sheet)**

The financial statements of Green Pastures Employment Services, Inc., reported the following accounts (adapted, with dollar amounts in thousands except for par value):

Paid-in capital in excess of par	\$196	Total revenues.....	\$1,430
Other shareholders' equity (negative)	(22)	Accounts payable	450
Ordinary share, \$0.01 par		Retained earnings.....	648
400 shares issued.....	4	Other current liabilities	2,579
Long-term debt	27	Total expenses.....	808

Prepare the shareholders' equity section of Green Pastures's Balance Sheet. Net income has already been closed to Retained Earnings.

L0 2**S10-9. (Learning Objective 2: Using shareholders' equity data)** Use the Green Pastures Employment Services data in Short Exercise 10-8 to compute Green Pastures's:

- Net income.
- Total liabilities.
- Total assets (use the accounting equation).

L0 3**S10-10. (Learning Objective 3: Accounting for the purchase and sale of treasury shares)**

Newton Marketing Corporation reported the following shareholders' equity at December 31 (adapted and in millions):

Ordinary share	\$ 225
Additional paid-in capital.....	245
Retained earnings.....	2,149
Treasury share.....	(621)
Total shareholders' equity	<u>\$1,998</u>

During the next year, Newton Marketing purchased treasury shares at a cost of \$24 million and resold treasury shares for \$6 million (this treasury share had cost Newton Marketing \$2 million). Record the purchase and resale of Newton Marketing's treasury shares. Overall, how much did shareholders' equity increase or decrease as a result of the two treasury share transactions?

L0 3

S10-11. (Learning Objective 3: Purchasing treasury share to fight off a takeover of the corporation) Thi Pham Exports, Inc., is located in Hanoi, Vietnam. TPE is the only company with reliable sources for its specialty gifts that are sold in many department stores around the world. TPE's recent success has made the company a prime target for a takeover. An investment group, PIE Investments, is attempting to buy 51% of TPE's outstanding share against the wishes of TPE's board of directors. TPE board members are convinced that PIE Investments' investors would sell the most desirable pieces of the business and leave little of value.

At the most recent board meeting, several suggestions were advanced to fight off the hostile takeover bid. The suggestion with the most promise is to purchase a huge quantity of treasury shares. PIE has the cash to carry out this plan.

Requirements

- Suppose you are a significant shareholder of PIE. Write a memorandum to explain to the board how the purchase of treasury shares would make it difficult for the PIE group to take over TPE. Include in your memo a discussion of the effect that purchasing treasury shares would have on shares outstanding and on the size of the corporation.
- Suppose TPE's management is successful in fighting off the takeover bid and later sells the treasury shares at prices greater than the purchase price. Explain what effect these sales will have on assets, shareholders' equity, and net income. What happens if the prices remained lower than what TPE paid? Will it report a loss?

S10-12. (Learning Objective 4: Accounting for cash dividends) Greentea Corporation earned a net income of \$98,000 during the year ended December 31, 20X6. On December 15, Greentea declared the annual cash dividend on its 6% preference shares (10,000 shares with total par value of \$100,000) and a \$1.00 per share cash dividend on its ordinary shares (50,000 shares with total par value of \$500,000). Greentea then paid the dividends on January 4, 20X7.

LO 4

Journalize for Greentea Corporation:

- a. Declaring the cash dividends on December 15, 20X6.
- b. Paying the cash dividends on January 4, 20X7.

Did Retained Earnings increase or decrease during 20X6? By how much?

S10-13. (Learning Objective 4: Dividing cash dividends between preference and ordinary shares) Access Garde, Inc., has 200,000 shares of \$1.60 preference shares outstanding in addition to its ordinary shares. The \$1.60 designation means that the preference shareholders receive an annual cash dividend of \$1.60 per share. In 20X6, Access Garde declares an annual dividend of \$450,000. The allocation to preference and ordinary shareholders is:

LO 4

Preference dividend, (200,000 shares × \$1.60 per share)	\$320,000
Ordinary dividend (remainder: \$500,000 – \$370,000)	130,000
Total dividend.....	<u>\$450,000</u>

Answer these questions about Access Garde's cash dividends.

1. How much in dividends must Access Garde declare each year before the ordinary shareholders receive any cash dividends for the year?
2. Suppose Access Garde, Inc., declares cash dividends of \$350,000 for 20X6. How much of the dividends goes to preference? How much goes to ordinary?
3. Is Access Garde's preference shares cumulative or non-cumulative? How can you tell?
4. Access Garde, Inc., passed the preference dividend in 20X5 and 20X6. Then in 20X7, Access Garde declared cash dividends of \$1,400,000. How much of the dividends goes to preference? How much goes to ordinary?

S10-14. (Learning Objective 4: Recording a share dividend) Centerville Bancshares has 12,000 shares of \$3 par ordinary shares outstanding. Suppose Centerville distributes a 15% shares dividend when the market value of its shares is \$25 per share.

LO 4

1. Journalize Centerville's distribution of the share dividend on May 11. An explanation is not required.
2. What was the overall effect of the share dividend on Centerville's total assets? On total liabilities? On total shareholders' equity?

S10-15. (Learning Objective 5: Computing book value per share) Fools Gold, Inc., has the following shareholders' equity:

LO 5

Preference share, 4%, \$5 par, 34,000 shares authorized and issued	\$ 198,000
Ordinary share, \$2 par, 100,000 shares authorized 64,000 shares issued	128,000
Additional paid-in capital.....	2,170,000
Retained earnings.....	1,700,000
Less treasury share, ordinary share (1,400 shares at cost)	(45,000)
Total shareholders' equity	<u>\$4,151,000</u>

The company has passed its preference dividends for three years including the current year. Compute the book value per share of the company's ordinary shares.

LO 6

S10-16. (Learning Objective 6: Computing and explaining earning per share and return on equity) Give the formula for computing (a) earnings per share (EPS) and (b) rate of return on ordinary shareholders' equity (ROE). Then answer these questions.

1. Why are preference dividends deducted from net income to compute EPS?
2. Why is preference share capital deducted from total equity to compute ROE?

LO 6

S10-17. (Learning Objective 6: Computing earnings per share and return on equity for a leading company) Sakura Corporation's 20X7 financial statements reported the following items, with the 20X6 figures given for comparison (adapted and in millions).

A1				
	A	B	C	D
1			20X7	20X6
2		Balance Sheet		
3		Total assets	¥ 10,624	¥ 9,515
4		Total liabilities	¥ 7,412	¥ 6,637
5		Total shareholders' equity (all ordinary)	3,212	2,878
6		Total liabilities and equity	¥ 10,624	¥ 9,515
7				
8		Income Statement		
9		Revenues and other income	¥ 7,633	
10		Operating expense	7,286	
11		Interest expense	31	
12		Other expense	196	
13		Net income	¥ 120	
14				

The weighted average common shares outstanding during 20X7 was 500 million shares. Compute Sakura's earnings per share and return on ordinary equity for 20X7. Evaluate the rates of return as strong or weak.

LO 1 2 5

S10-18. (Learning Objectives 1, 2, 5: Explaining the features of a corporation's shares)

McMillan Corporation is conducting a special meeting of its board of directors to address some concerns raised by the shareholders. Shareholders have submitted the following questions. Answer each question.

1. Why are ordinary shares and retained earnings shown separately in the shareholders' equity section of the Balance Sheet?
2. Lily Lockhart, a McMillan shareholder, proposes to transfer some land she owns to the company in exchange for a share of the company shares. How should McMillan Corporation determine the number of shares to issue for the land?
3. Preference shares generally are preference with respect to dividends and in the event of our liquidation. Why would investors buy our ordinary shares when preference shares are available?
4. What does the redemption value of our preference shares require us to do?
5. One shareholder asked the board why the market value per share is not the same as the book value per share. Explain why this is the case.

LO 7

S10-19. (Learning Objective 7: Measuring cash flows from financing activities) During 20X6, Dwayne Corporation earned net income of \$5.8 billion and paid off \$2.5 billion of long-term notes payable. Dwayne raised \$1.2 billion by issuing ordinary shares, paid \$3.6 billion to purchase treasury shares, and paid cash dividends of \$1.6 billion. Report Dwayne's cash flows from financing activities on the statement of cash flows for 20X6.

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select exercises using MyLab Accounting.

Group A

E10-20A. (Learning Objective 2: Issuing shares and reporting shareholders' equity) Bread & Butter, Inc., is authorized to issue 120,000 shares of ordinary shares and 7,000 shares of preference shares. During its first year, the business completed the following share issuance transactions:

L0 2

Jan. 19	Issued 10,000 shares of \$2.00 par ordinary shares for cash of \$6.00 per share.
Apr. 3	Issued 500 shares of no-par preference shares for \$55,000 cash.
11	Received inventory valued at \$16,200 and equipment with market value of \$9,800 for 3,800 shares of the \$2.00 par ordinary share.

Requirements

1. Journalize the transactions. Explanations are not required.
2. Prepare the shareholders' equity section of Bread & Butter's Balance Sheet. The ending balance of retained earnings is a deficit of \$45,000.

E10-21A. (Learning Objective 2: Preparing shareholders' equity section of a Balance Sheet) Army Navy Sporting Goods is authorized to issue 10,000 preference shares and 20,000 ordinary shares. During a two-month period, Army Navy completed these share-issuance transactions:

L0 2

Apr. 23	Issued 1,800 shares of \$1.50 par ordinary share for cash of \$16.50 per share.
May 2	Issued 800 shares of no-par preference share for \$24,000 cash.
12	Received inventory valued at \$20,000 and equipment with market value of \$40,000 for 3,200 shares of the \$1.50 par ordinary share.

Requirement

1. Prepare the shareholders' equity section of the Army Navy Sporting Goods' Balance Sheet for the transactions given in this exercise. The Retained Earnings account currently has a balance of \$45,000. Journal entries are not required.

E10-22A. (Learning Objective 2: Measuring the paid-in capital of a corporation) Travel Publishing was recently organized. The company issued ordinary shares to an attorney who provided legal services worth \$22,000 to help organize the corporation. Travel also issued ordinary shares to an inventor in exchange for his patent with a market value of \$83,000. In addition, Travel received cash both for the issuance of 3,000 shares of its preference shares at \$120 per share and for the issuance of 20,000 of its ordinary shares at \$1 per share. During the first year of operations, Travel earned a net income of \$50,000 and declared a cash dividend of \$29,000. Without making journal entries, determine the total paid-in capital created by these transactions.

L0 2

E10-23A. (Learning Objectives 2, 3: Preparing the shareholders' equity section of a Balance Sheet) Parker Software had the following selected account balances at December 31, 20X6 (in thousands, except par value per share).

L0 2 3

Inventory.....	\$ 651	Ordinary share, \$0.75 par per share, 800 shares authorized, 320 shares issued	\$ 240
Property, plant and equipment, net	900	Retained earnings.....	2,220
Paid-in capital in excess of par	899	Accounts receivable, net	1,000
Treasury shares, 100 shares at cost.....	1,150	Notes payable	1,100
Other shareholders' equity	(730)*		

*Debit balance

Requirements

1. Prepare the shareholders' equity section of Parker's Balance Sheet (in thousands).
2. How can Parker have a larger balance of treasury shares than the sum of ordinary shares and Paid-in Capital in Excess of Par?

L0 2 3

E10-24A. (*Learning Objectives 2, 3: Recording treasury shares transactions and measuring their effects on shareholders' equity*) Journalize the following transactions of Aliant Productions:

Jan. 17	Issued 2,100 shares of \$2.50 par ordinary share at \$10 per share.
May 23	Purchased 400 shares of treasury share at \$12 per share.
Jul. 11	Sold 300 shares of treasury share at \$20 per share.

What was the overall effect of these transactions on Aliant's shareholders' equity?

L0 2 3 4

E10-25A. (*Learning Objectives 2, 3, 4: Recording share issuance, treasury share, and dividend transactions*) At December 31, 20X6, Southwest Corporation reported the shareholders' equity accounts shown here (with dollar amounts in millions, except per share amounts).

Ordinary share \$2.00 par value per share, 2,100 million shares issued.....	\$ 4,200
Capital in excess of par value	8,400
Retained earnings.....	250
Treasury share, at cost	(70)
Total shareholders' equity	\$12,780

Southwest's 20X7 transactions included the following:

- a. Net income, \$446 million.
- b. Issuance of 9 million shares of ordinary share for \$13.50 per share.
- c. Purchase of 3 million shares of treasury share for \$16 million.
- d. Declaration and payment of cash dividends of \$32 million.

Requirement

1. Journalize Southwest's transactions in **b**, **c**, and **d**. Explanations are not required.

L0 2 3 4

E10-26A. (*Learning Objectives 2, 3, 4: Reporting shareholders' equity after a sequence of transactions*) Use the Southwest Corporation data in Exercise 10-25A to prepare the shareholders' equity section of the company's Balance Sheet at December 31, 20X7.

L0 2 3 4 5

E10-27A. (*Learning Objectives 2, 3, 4, 5: Inferring transactions from a company's shareholders' equity*) Theodore Products Company reported the following shareholders' equity on its Balance Sheet:

A1			
	A	B	C
1	Shareholders' Equity	December 31	
2	(Dollars and shares in millions)	20X7	20X6
3	Convertible Preference share—\$0.50 par value; authorized		
4	30 shares; issued and outstanding: 20X7 and 20X6—		
5	6 and 12 shares, respectively	\$ 3	\$ 6
6	Ordinary share—\$2 per share par value; authorized		
7	1,400 shares; issued: 20X7 and 20X6—300		
8	and 200 shares, respectively	600	400
9	Additional paid-in capital	1,950	1,200
10	Retained earnings	6,270	5,066
11	Treasury share, ordinary share—at cost		
12	20X7—52 shares; 20X6—12 shares	(1,144)	(228)
13	Total shareholders' equity	7,679	6,444
14	Total liabilities and shareholders' equity	\$ 48,299	\$ 45,294

Requirements

1. What caused Theodore's preference shares to decrease during 20X7? Cite all possible causes.
2. What caused Theodore's ordinary shares to increase during 20X7? Identify all possible causes.
3. How many shares of Theodore's ordinary shares were outstanding at December 31, 20X7?
4. Theodore's net income during 20X7 was \$1,380 million. How much were Theta's dividends during the year?
5. During 20X7, Theodore sold no treasury shares. What average price per share did Theodore pay for the treasury shares the company purchased during the year?

E10-28A. (*Learning Objective 4: Computing dividends on preference and ordinary share*) Huron Manufacturing, Inc., reported the following:

L0 4

A1		
	A	B
1	Shareholders' Equity	
2	Preference share, cumulative, \$0.50 par, 9%, 50,000 shares issued	\$ 25,000
3	Ordinary share, \$0.10 par, 9,180,000 shares issued	918,000
4		

Huron Manufacturing has paid all preference dividends through 20X7.

Requirement

1. Compute the total amounts of dividends to both preference and ordinary shares for 20X6 and 20X7 if total dividends are \$70,000 in 20X6 and \$130,000 in 20X7.

E10-29A. (*Learning Objective 4: Recording a share dividend and reporting shareholders' equity*) The shareholders' equity for Heavenly Desserts Drive-Ins (HD) on December 31, 20X6, is as follows:

L0 4

A1		
	A	B
1	Shareholders' Equity	
2	Ordinary share, \$0.80 par, 2,600,000 shares	
3	authorized, 400,000 shares issued	\$ 320,000
4	Paid-in capital in excess of par—ordinary	307,200
5	Retained earnings	7,122,000
6	Other equity	(200,000)
7	Total shareholders' equity	\$ 7,549,200
8		

On May 11, 20X7, the market price of HD's ordinary shares was \$19 per share. Assume HD distributed a 15% share dividend on this date.

Requirements

1. Journalize the distribution of the share dividend.
2. Prepare the shareholders' equity section of the Balance Sheet after the share dividend.
3. Why is the total shareholders' equity unchanged by the share dividend?
4. Suppose HD had a cash balance of \$580,000 on May 12, 20X7. What is the maximum amount of cash dividends HD can declare?

L0 2 3 4

E10-30A. (*Learning Objectives 2, 3, 4: Measuring the effects of share issuance, dividends, and treasury shares transactions*) Identify the effects—both the direction and the dollar amount—of these assumed transactions on the total shareholders' equity of Athol Corporation. Each transaction is independent.

- a. Declaration of cash dividends of \$75 million.
- b. Payment of the cash dividend in a.
- c. A 25% shares dividend. Before the dividend, 72 million shares of \$2.00 par ordinary share were outstanding; the market value was \$8.250 at the time of the dividend.
- d. Purchase of 1,800 shares of treasury shares (par value \$2.00) at \$5.25 per share.
- e. Sale of 800 shares of the treasury shares for \$7.00 per share. Cost of the treasury share was \$5.25 per share.
- f. A 2-for-1 stock split. Prior to the split, 72 million shares of \$2.00 par ordinary shares were outstanding.

L0 4

E10-31A. (*Learning Objective 4: Reporting shareholders' equity after a stock split*) Clublink Corp. had the following shareholders' equity at October 31 (dollars in millions, except par value per share):

A1		
	A	B
1	Shareholders' Equity	
2	Ordinary share, \$1.50 par, 750 million shares	
3	authorized, 410,000 million shares issued	\$ 615
4	Additional paid-in capital	318
5	Retained earnings	2,399
6	Other equity	(148)
7	Total shareholders' equity	\$ 3,184
8		

On December 6, Clublink split its \$1.50 par ordinary share 3-for-1.

Requirement

1. Prepare the shareholders' equity section of the Balance Sheet immediately after the split.

E10-32A. (Learning Objective 5: Measuring the book value per share of ordinary share)

L0 5

The Balance Sheet of Luxury Rug Company reported the following:

Redeemable preference share, 4%, \$60 par value, redemption value \$54,000; outstanding 600 shares.....	\$36,000
Ordinary shareholders' equity:	
7,000 shares issued and outstanding	77,000
Total shareholders' equity	<u>\$113,000</u>

Requirements

1. Compute the book value per share for an ordinary share, assuming all preference dividends are fully paid up (none in arrears).
2. Compute the book value per share of the ordinary shares, assuming that three years' cumulative preference dividends, including the current year, are in arrears.
3. Luxury Rug's ordinary shares recently traded at a market price of \$6.00 per share. Does this mean that Luxury Rug's shares are a good buy at \$6.00?

E10-33A. (Learning Objective 6: Evaluating profitability) Luna Inns reported these figures for 20X7 and 20X6 (in millions):

L0 6

A1				
	A	B	C	D
1			20X7	20X6
2		Balance Sheet		
3		Total assets	\$ 15,910	\$ 13,710
4		Ordinary share and additional paid-in capital	45	392
5		Retained earnings	11,524	16,493
6		Other equity	(3,019)	(9,045)
7				
8		Income Statement		
9		Operating income	\$ 4,024	\$ 3,815
10		Interest expense	224	268
11		Net income	1,529	1,545
12				

Requirement

1. Compute Luna's return on assets and return on ordinary shareholders' equity for 20X7. Do these rates of return suggest strength or weakness? Give your reason.

E10-34A. (Learning Objective 6: Evaluating profitability) Littleton Company included the following items in its financial statements for 20X6, the current year (amounts in millions):

L0 6

Payment of long-term debt	\$17,090	Dividends paid	\$ 230
Proceeds from issuance of ordinary share	8,600	Interest expense: Current year	1,439
Total liabilities: Current year-end	32,325	Preceding year	601
Preceding year-end	38,035	Net income: Current year	1,880
Total shareholders' equity: Current year-end	23,478	Preceding year	2,005
Preceding year-end	14,034	Operating income: Current year	4,894
Borrowings	6,570	Preceding year	4,006

Requirement

1. Compute Littleton's earnings per share and return on ordinary equity during 20X6 (the current year). Littleton has no preference shares outstanding. The weighted average ordinary shares outstanding were 500 million shares. Are the company's returns strong or weak? Give your reason.

L0 7

E10-35A. (Learning Objective 7: Reporting cash flows from financing activities) Use the Littleton Company data in Exercise E10-34A to show how the company reported cash flows from financing activities during 20X6 (the current year). List items in descending order from the largest to the smallest dollar amount.

Group B

L0 2

E10-36B. (Learning Objective 2: Issuing share and reporting shareholders' equity) Sweet & Sour, Inc., is authorized to issue 120,000 shares of ordinary shares and 8,000 shares of preference shares. During its first year, the business completed the following share issuance transactions:

Apr. 19	Issued 18,000 shares of €3.50 par ordinary share for cash of €7.50 per share.
Nov. 3	Issued 700 shares of no-par preference share for €56,000 cash.
11	Received inventory valued at €18,400 and equipment with market value of €10,600 for 4,000 shares of the €3.50 par ordinary share.

Requirements

1. Journalize the transactions. Explanations are not required.
2. Prepare the shareholders' equity section of Sweet & Sour's Balance Sheet. The ending balance of retained earnings is a deficit of €48,000.

L0 2

E10-37B. (Learning Objective 2: Preparing shareholders' equity section of a Balance Sheet) Honcho Sporting Goods is authorized to issue 8,000 preference shares and 16,000 ordinary shares. During a two-month period, Honcho completed these share-issuance transactions:

Jun. 23	Issued 1,400 shares of \$2.00 par ordinary share for cash of \$17.50 per share.
Jul. 2	Issued 500 shares of \$5.50, no-par preference share for \$32,000 cash.
12	Received inventory valued at \$18,000 and equipment with market value of \$42,000 for 3,600 shares of the \$2.00 par ordinary share.

Requirement

1. Prepare the shareholders' equity section of the Honcho Sporting Goods Balance Sheet for the transactions given in this exercise. The Retained Earnings account currently has a balance of €45,000. Journal entries are not required.

L0 2

E10-38B. (Learning Objective 2: Measuring the paid-in capital of a corporation) Journey Publishing was recently organized. The company issued ordinary shares to a lawyer who provided legal services worth €25,000 to help organize the corporation. Journey also issued ordinary shares to an inventor in exchange for his patent with a market value of €87,000. In addition, Journey received cash both for the issuance of 4,000 shares of its preference shares at €90 per share and for the issuance of 18,000 shares of its ordinary shares at €18 per share. During the first year of operations, Journey earned a net income of €65,000 and declared a cash dividend of €23,000. Without making journal entries, determine the total paid-in capital created by these transactions.

E10-39B. (*Learning Objectives 2, 3: Shareholders' equity section of a Balance Sheet*) Baikal Software had the following selected account balances at December 31, 20X6 (in thousands, except par value per share):

L0 2 3

Inventory.....	€ 705	Ordinary share, €0.50 par	
Property, plant and		per share, 900 shares	
equipment, net	903	authorized, 300 shares	
Paid-in capital in excess of par	897	issued	€ 150
Treasury share,		Retained earnings.....	2,270
140 shares at cost.....	1,610	Accounts receivable, net	200
Other shareholders' equity	(726)*	Notes payable	1,166

*Debit balance

Requirements

1. Prepare the shareholders' equity section of Baikal Software's Balance Sheet (in thousands).
2. How can Baikal have a larger balance of treasury shares than the sum of ordinary shares and paid-in capital in excess of par?

E10-40B. (*Learning Objectives 2, 3: Recording treasury share transactions and measuring their effects on shareholders' equity*) Journalize the following assumed transactions of Applebug Productions:

L0 2 3

Mar. 16	Issued 2,500 shares of \$1.50 par ordinary share at \$7 per share.
Apr. 20	Purchased 700 shares of treasury share at \$16 per share.
Aug. 8	Sold 500 shares of treasury share at \$17 per share.

What was the overall effect of these transactions on Applebug's shareholders' equity?

E10-41B. (*Learning Objectives 2, 3, 4: Recording share issuance, treasury share, and dividend transactions*) At December 31, 20X6, Western Corporation reported the shareholders' equity accounts shown here (with dollar amounts in millions, except per share amounts).

L0 2 3 4

Ordinary share €1.50 par value per share,	
1,700 million shares issued.....	€ 2,550
Capital in excess of par value	7,650
Retained earnings.....	260
Treasury share, at cost	(10)
Total shareholders' equity	<u>€10,450</u>

Western's 20X7 transactions included the following:

- a. Net income, €447 million.
- b. Issuance of 10 million shares of ordinary share for €12.50 per share.
- c. Purchase of 4 million shares of treasury share for €15 million.
- d. Declaration and payment of cash dividends of €35 million.

Requirement

1. Journalize Western's transactions in **b**, **c**, and **d**. Explanations are not required.

E10-42B. (*Learning Objectives 2, 3, 4: Reporting shareholders' equity after a sequence of transactions*) Use the Western Corporation data in Exercise 10-41B to prepare the shareholders' equity section of the company's Balance Sheet at December 31, 20X7.

L0 2 3 4

E10-43B. (*Learning Objectives 2, 3, 4, 5: Inferring transactions from a company's shareholders' equity*) Eleanor Products Company reported the following shareholders' equity on its Balance Sheet:

L0 2 3 4 5

A1			
	A	B	C
1	Shareholders' Equity	December 31	
2	(Dollars and shares in millions)	20X7	20X6
3	Convertible preference share—€1.50 par value; authorized 40 shares;		
4	issued and outstanding:		
5	20X7 and 20X6—8 and 16 shares, respectively	€ 12	€ 24
6	Ordinary share—€4 per share par value; authorized		
7	1,200 shares; issued: 20X7 and 20X6—500		
8	and 400 shares, respectively	2,000	1,600
9	Additional paid-in capital	2,750	2,000
10	Retained earnings	6,300	5,025
11	Treasury share, ordinary share—at cost		
12	20X7—54 shares; 20X6—14 shares	(1,242)	(280)
13	Total shareholders' equity	9,820	8,369
14	Total liabilities and shareholders' equity	€ 50,320	€ 47,215

Requirements

1. What caused Eleanor's preference shares to decrease during 20X7? Cite all possible causes.
2. What caused Eleanor's ordinary shares to increase during 20X7? Identify all possible causes.
3. How many shares of Eleanor's ordinary shares were outstanding at December 31, 20X7?
4. Eleanor's net income during 20X7 was €1,478 million. How much were Eleanor's dividends during the year?
5. During 20X7, Eleanor sold no treasury shares. What average price per share did Eleanor pay for the treasury shares the company purchased during the year?

L0 4

E10-44B. (*Learning Objective 4: Computing dividends on preference and ordinary share*) Eerie Manufacturing, Inc., reported the following:

A1		
	A	B
1	Shareholders' Equity	
2	Preference share, cumulative, \$1.50 par, 7%, 60,000 shares issued	€ 90,000
3	Ordinary share, \$0.20 par, 9,120,000 shares issued	1,824,000
4		

Eerie Manufacturing has paid all preference dividends through 20X3.

Requirement

1. Compute the total amounts of dividends to both preference and ordinary for 20X6 and 20X7 if total dividends are €110,000 in 20X6 and €220,000 in 20X7.

L0 4

E10-45B. (*Learning Objective 4: Recording a share dividend and reporting shareholders' equity*) The shareholders' equity for Icy Pop Drive-Ins (IP) on December 31, 20X6, follows:

A1		
	A	B
1	Shareholders' Equity	
2	Ordinary share, €0.30 par, 2,200,000 shares	
3	authorized, 500,000 shares issued	€ 150,000
4	Paid-in capital in excess of par—ordinary	409,600
5	Retained earnings	7,133,000
6	Other equity	(185,000)
7	Total shareholders' equity	€ 7,507,600
8		

On August 15, 20X7, the market price of IP's ordinary shares was €15 per share. Assume IP distributed a 20% share dividend on this date.

Requirements

1. Journalize the distribution of the share dividend.
2. Prepare the shareholders' equity section of the Balance Sheet after the share dividend.
3. Why is total shareholders' equity unchanged by the share dividend?
4. Suppose IP had a cash balance of €570,000 on August 16, 20X7. What is the maximum amount of cash dividends IP can declare?

E10-46B. (*Learning Objectives 2, 3, 4: Measuring the effects of share issuance, dividends, and treasury share transactions*) Identify the effects—both the direction and the dollar amount—of these assumed transactions on the total shareholders' equity of Dracut Corporation. Each transaction is independent.

L0 2 3 4

- a. Declaration of cash dividends of €88 million.
- b. Payment of the cash dividend in a.
- c. A 5% share dividend. Before the dividend, 75 million shares of €3.00 par ordinary shares were outstanding; the market value was €9.185 at the time of the dividend.
- d. Purchase of 1,600 shares of treasury shares (par value €3.00) at €6.25 per share.
- e. Sale of 800 shares of the treasury shares for €9.00 per share. The cost of the treasury shares was €6.25 per share.
- f. A 3-for-1 stock split. Prior to the split, 75 million shares of €3.00 par ordinary share were outstanding.

E10-47B. (*Learning Objective 4: Reporting shareholders' equity after a stock split*) Griffin Corp. had the following shareholders' equity at March 31 (dollars in millions, except par value per share):

L0 4

A1		
	A	B
1	Shareholders' Equity	
2	Ordinary share, €0.30 par, 500 million shares	
3	authorized, 460 million shares issued	€ 138
4	Additional paid-in capital	315
5	Retained earnings	2,393
6	Other equity	(146)
7	Total shareholders' equity	€ 2,700
8		

On May 3, Griffin split its €0.30 par ordinary share 3-for-1.

Requirement

1. Prepare the shareholders' equity section of the Balance Sheet immediately after the split.

E10-48B. (*Learning Objective 5: Measuring the book value per share of ordinary share*) The Balance Sheet of Eclectic Rug Company reported the following:

L0 5

Redeemable preference share, 10%, €30 par value, redemption value €28,500; outstanding 800 shares.....	€ 21,000
Ordinary shareholders' equity:	
11,000 shares issued and outstanding	110,000
Total shareholders' equity	<u>€134,000</u>

Requirements

1. Compute the book value per share for the ordinary shares, assuming all preference dividends are fully paid up (none in arrears).
2. Compute the book value per share of the ordinary shares, assuming that three years' cumulative preference dividends, including the current year, are in arrears.
3. Eclectic Rug's ordinary shares recently traded at a market price of €7.10 per share. Does this mean that Eclectic Rug's shares are a good buy at €7.10?

L0 6

E10-49B. (Learning Objective 6: Evaluating profitability) LaSalle Inns reported these figures for 20X7 and 20X6 (in millions):

A1				
	A	B	C	D
1			20X7	20X6
2		Balance Sheet		
3		Total assets	€ 16,020	€ 13,760
4		Ordinary share and additional paid-in capital	39	385
5		Retained earnings	11,522	16,534
6		Other equity	(2,961)	(9,119)
7				
8		Income Statement		
9		Operating income	€ 4,025	€ 3,818
10		Interest expense	214	274
11		Net income	1,533	1,549
12				

Requirement

1. Compute LaSalle's return on assets and return on ordinary shareholders' equity for 20X7. Do these rates of return suggest strength or weakness? Give your reason.

L0 6

E10-50B. (Learning Objective 6: Evaluating profitability) Lawrence Company included the following items in its financial statements for 20X6, the current year (amounts in millions):

Payment of long-term debt.....	€17,120	Dividends paid	€ 225
Proceeds from issuance		Interest expense:	
of ordinary share.....	8,485	Current year.....	1,443
Total liabilities:		Preceding year.....	602
Current year-end.....	32,315	Net income:	
Preceding year-end.....	38,033	Current year.....	1,874
Total shareholders' equity:		Preceding year.....	1,994
Current year-end.....	23,472	Operating income:	
Preceding year-end.....	14,044	Current year.....	4,876
Borrowings.....	6,580	Preceding year.....	3,996

Requirement

1. Compute Lawrence's earnings per share and return on ordinary equity during 20X6 (the current year). Lawrence has no preference shares outstanding. The weighted average ordinary shares outstanding were 500 million shares. Do the company's rates of return look strong or weak? Give your reason.

L0 7

E10-51B. (Learning Objective 7: Reporting cash flows from financing activities) Use the Lawrence data in Exercise E10-50B to show how the company reported cash flows from financing activities during 20X6 (the current year). List items in descending order from largest to smallest dollar amount.

Challenge Exercises

E10-52. (Learning Objectives 2, 3, 4: Reconstructing transactions from the financial statements) D-4 Networking Solutions began operations on January 1, 20X6, and immediately issued its shares, receiving cash. D-4's Balance Sheet at December 31, 20X6, reported the following shareholders' equity:

L0 2 3 4

Ordinary share, \$1 par.....	\$ 51,000
Additional paid-in capital.....	102,000
Retained earnings.....	35,000
Treasury share, 850 shares.....	(7,650)
Total shareholders' equity.....	<u>\$180,350</u>

During 20X6, D-4

- Issued shares for \$3 per share.
- Purchased 1,000 shares of treasury shares, paying \$9 per share.
- Resold some of the treasury shares.
- Earned net income of \$60,000 and declared and paid cash dividends. Revenues were \$178,000 and expenses totaled \$118,000.

Requirement

- Journalize all of D-4's shareholders' equity transactions during the year. D-4's entry to close net income to Retained Earnings was:

A1				
	A	B	C	D
1		Revenues	178,000	
2		Expenses		118,000
3		Retained Earnings		60,000
4				

E10-53. (Learning Objective 7: Reporting financing activities on the statement of cash flows) Use the D-4 Networking Solutions data in Exercise 10-52 to show how the company reported cash flows from financing activities during 20X6.

L0 7

E10-54. (Learning Objectives 2, 3, 4: Explaining the changes in shareholders' equity) Moon Walk Corporation reported the following shareholders' equity data (all dollars in millions except par value per share):

L0 2 3 4

A1			
	A	B	C
		December 31	
		20X6	20X5
1			
2	Preference share	\$ 610	\$ 740
3	Ordinary share, \$1 par value	908	889
4	Additional paid-in capital	1,512	1,482
5	Retained earnings	20,635	19,100
6	Treasury share, ordinary	(2,785)	(2,600)
7			

Moon Walk earned a net income of \$2,950 during 20X6. For each account except Retained Earnings, one transaction explains the change from the December 31, 20X5, balance to the December 31, 20X6, balance. Two transactions affected Retained Earnings. Give a full explanation, including the dollar amount, for the change in each account.

L0 2 3 4**E10-55. (Learning Objectives 2, 3, 4: Accounting for changes in shareholders' equity)**

Clubhouse, Inc., ended 20X6 with 7 million shares of \$1 par ordinary share issued and outstanding. Beginning additional paid-in capital was \$10 million, and Retained Earnings totaled \$35 million:

- In April 20X7, Clubhouse issued 5 million shares of ordinary shares at a price of \$4 per share.
- In June, the company distributed a 10% share dividend at a time when Clubhouse's ordinary shares had a market value of \$6 per share.
- Then in September, Clubhouse's share price dropped to \$2 per share and the company purchased 4 million shares of treasury share.
- For the year, Clubhouse earned net income of \$24 million and declared cash dividends of \$13 million.

Requirement

1. Complete the following tabulation to show what Clubhouse should report for shareholders' equity at December 31, 20X7. Journal entries are not required.

(Amounts in millions)	Ordinary Shares	+	Additional Paid-In Capital	+	Retained Earnings	−	Treasury Shares	=	Total Equity
Balance, Dec 31, 20X6.....	\$7		\$10		\$35		0		\$52
Issuance of shares.....									
Share dividend.....									
Purchase of treasury shares									
Net income.....									
Cash dividends									
Balance, Dec 31, 20X7.....									

Quiz

Test your understanding of shareholders' equity by answering the following questions. Select the best choice from among the possible answers given.

Q10-56. Which of the following is a characteristic of a corporation?

- a. Limited life
- b. Limited rights of shareholders
- c. Limited number of shareholders
- d. Limited liability of shareholders

Q10-57. Spirit World, Inc., issues 280,000 shares of no-par ordinary share for \$8 per share. The journal entry is:

A1				
	A	B	C	D
1	a.	Cash	280,000	
2		Ordinary share		280,000
3				
4	b.	Cash	2,240,000	
5		Ordinary share		280,000
6		Gain on sale of share		1,960,000
7				
8	c.	Cash	2,240,000	
9		Ordinary share		2,240,000
10				
11	d.	Cash	2,240,000	
12		Ordinary share		280,000
13		Paid-in capital in excess of par		1,960,000
14				

Q10-58. Par value

- a. represents what a share is worth.
- b. represents the original selling price for one share.
- c. is established for a portion of share after it is issued.
- d. may exist for ordinary share but not for preference share.
- e. is an arbitrary amount that establishes the legal capital for each share.

Q10-59. The paid-in capital portion of shareholders' equity does not include

- a. Paid-in Capital in Excess of Par Value.
- b. Ordinary Share.
- c. Preference Share.
- d. Retained Earnings.

Q10-60. Preference share is least likely to have which of the following characteristics?

- a. The right of the holder to convert to ordinary shares
- b. Preference as to assets on liquidation of the corporation
- c. Extra liability for the preference shareholders
- d. Preference as to dividends

Q10-61. Which of the following classifications represents the most shares of ordinary share?

- a. Outstanding shares
- b. Authorized shares
- c. Unissued shares
- d. Issued shares
- e. Treasury shares

Use the following information for Questions Q10-62 to Q10-64:

These account balances at December 31 relate to Superworld, Inc.:

Accounts Payable	\$ 51,500	Paid-in Capital in Excess	
Accounts Receivable.....	81,550	of Par—Ordinary Share	\$220,000
Ordinary Share.....	317,000	Preference share, 10%, \$100 Par.....	85,000
Treasury Share	5,200	Retained Earnings	71,300
Bonds Payable.....	3,800	Notes Receivable.....	12,100

Q10-62. What is total paid-in capital for Superworld, Inc.?

- a. \$622,000
- b. \$693,300
- c. \$641,345
- d. \$634,445
- e. None of the above

Q10-63. What is total shareholders' equity for Superworld, Inc.?

- a. \$683,300
- b. \$688,100
- c. \$641,345
- d. \$698,500
- e. None of the above

Q10-64. Superworld's net income for the period is \$119,100 and beginning ordinary shareholders' equity is \$681,500. Calculate Superworld's return on ordinary shareholders' equity.

- a. 18.2%
- b. 16.4%
- c. 17.2%
- d. 19.3%

Q10-65. A company paid \$25 per share to purchase 600 shares of its ordinary shares as treasury shares. The shares were originally issued at \$18 per share. The journal entry to record the purchase of the treasury shares is:

A1				
	A	B	C	D
1	a.	Treasury shares	15,000	
2		Cash		15,000
3				
4	b.	Ordinary shares	15,000	
5		Cash		15,000
6				
7	c.	Treasury shares	7,500	
8		Paid-in capital in excess of par	7,500	
9		Cash		15,000
10				
11	d.	Treasury shares	10,800	
12		Retained earnings	4,200	
13		Cash		15,000
14				

Q10-66. When treasury shares are sold for less than their cost, the entry should include a debit to:

- a. Retained Earnings.
- b. Paid-in Capital in Excess of Par.
- c. Loss on Sale of Treasury Shares.
- d. Gain on Sale of Treasury Shares.

Q10-67. A company purchased 100 shares of its ordinary shares at \$50 per share. It then sells 40 of the treasury shares at \$56 per share. The entry to sell the treasury shares includes a

- a. credit to Cash for \$2,240.
- b. debit to Retained Earnings for \$240.
- c. credit to Retained Earnings for \$600.
- d. credit to Paid-in Capital, Treasury Shares for \$240.
- e. credit to Treasury Shares for \$2,240.

Q10-68. Shareholders are eligible for a dividend if they own the share on the date of

- a. issuance.
- b. record.
- c. payment.
- d. declaration.

Q10-69. Loco's Foods has outstanding 600 shares of 8% preference shares, \$100 par value, and 1,600 shares of ordinary shares, \$35 par value. Loco's declares dividends of \$15,800. The correct entry is:

A1				
	A	B	C	D
1	a.	Dividends expense	15,800	
2		Cash		15,800
3				
4	b.	Dividends payable, preference	4,800	
5		Dividends payable, ordinary	11,000	
6		Cash		15,800
7				
8	c.	Retained earnings	15,800	
9		Dividends payable, preference		7,900
10		Dividends payable, ordinary		7,900
11				
12	d.	Retained earnings	15,800	
13		Dividends payable, preference		4,800
14		Dividends payable, ordinary		11,000
15				

Q10-70. A corporation has 40,000 shares of 8% preference share outstanding. Also, there are 40,000 shares of ordinary share outstanding. Par value for each is \$100. If a \$500,000 dividend is paid, how much goes to the preference shareholders?

- a. None
- b. \$400,000
- c. \$320,000
- d. \$250,000
- e. \$500,000

Q10-71. Assume the same facts as in question 70. What is the amount of dividends per share on ordinary share?

- a. \$1.00
- b. \$4.50
- c. \$5.25
- d. \$11.50
- e. None of these

Q10-72. Which of the following is not true about a 10% share dividend?

- a. Total shareholders' equity remains the same.
- b. Paid-in Capital increases.
- c. Retained Earnings decreases.
- d. Par value decreases.
- e. The market value of the share is needed to record the share dividend.

Q10-73. A company declares a 5% share dividend. The debit to Retained Earnings is an amount equal to

- a. the book value of the shares to be issued.
- b. the market value of the shares to be issued.
- c. the par value of the shares to be issued.
- d. the excess of the market price over the original issue price of the shares to be issued.

Q10-74. Which of the following statements is not true about a 3-for-1 stock split?

- a. Total shareholders' equity increases.
- b. The market price of each share will decrease.
- c. Retained Earnings remains the same.
- d. A shareholder with 10 shares before the split owns 30 shares after the split.
- e. Par value is reduced to one-third of what it was before the split.

Q10-75. Antonio Company's net income for the year was \$30,000. Its beginning and ending equity were \$540,000 and \$660,000, respectively. How much is Antonio's return on equity?

- a. 5.0%
- b. 4.5%
- c. 4.1%
- d. 4.0%

Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select problems using MyLab Accounting.

Group A

P10-76A. (*Learning Objective 2: Recording corporate transactions and preparing the shareholders' equity section of the Balance Sheet*) Cullen Canoes' constitution authorizes the corporation to issue 10,000 no-par preference shares and 80,000 shares of \$8 par ordinary shares. In its first month, Cullen Canoes completed the following transactions:

May 6	Issued 900 ordinary shares to the promoter for assistance with issuance of the ordinary share. The promotional fee was \$22,500. Debit Organization Expense.
9	Issued 10,000 ordinary shares to Ben Cullen and 12,000 shares to Bill Cohen in return for cash equal to the share's market value of \$25 per share. The Cullens were partners in Cullen Canoes Co.
10	Issued 800 shares of preference share to acquire a patent with a market value of \$20,000.
26	Issued 1,000 shares of ordinary share for \$25 cash per share.

Requirements

1. Record the transactions in the journal.
2. Prepare the shareholders' equity section of the Cullen Canoes, Inc., Balance Sheet at May 31. The ending balance of Retained Earnings is \$56,000.

L0 2 4

P10-77A. (Learning Objectives 2, 4: Preparing the shareholders' equity section of the Balance Sheet) Garry Corp. has the following shareholders' equity information:

Garry's constitution authorizes the company to issue 8,000 shares of 5% preference shares with par value of \$140 and 600,000 shares of no-par ordinary share. The company issued 1,600 shares of the preference share at \$140 per share. It issued 120,000 shares of the ordinary share for a total of \$540,000. The company's retained earnings balance at the beginning of 20X6 was \$75,000, and net income for the year was \$94,000. During 20X6, Garry declared the specified dividend on preference shares and a \$0.40 per-share dividend on ordinary shares. Preference dividends for 20X5 were in arrears.

Requirement

1. Prepare the shareholders' equity section of Garry Corp.'s Balance Sheet at December 31, 20X6. Show the computation of all amounts. Journal entries are not required.

L0 2 3 4

P10-78A. (Learning Objectives 2, 3, 4: Measuring the effects of share issuance, treasury shares, and dividend transactions on shareholders' equity) Best Foods, Inc., is authorized to issue 5,500,000 shares of \$6.00 par ordinary share.

In its initial public offering during 20X0, Best issued 475,000 shares of its \$6.00 par ordinary shares for \$8.00 per share. Over the next year, Best's share price increased, and the company issued 380,000 more shares at an average price of \$10.00.

During 20X2, the price of Best's ordinary shares dropped to \$7.25, and Best purchased 60,000 shares of its ordinary shares for the treasury. After the market price of the ordinary share rose in 20X3, Best sold 40,000 shares of the treasury shares for \$10.00 per share.

During the five years from 20X0 to 20X5, Best earned a net income of \$1,000,000 and declared and paid cash dividends of \$600,000. Share dividends of \$641,250 were distributed to the shareholders in 20X1, with \$359,100 credited to ordinary shares and \$282,150 credited to additional paid-in capital. At December 31, 20X5, total assets of the company are \$14,800,000, and liabilities add up to \$6,835,000.

Requirement

1. Show the computation of Best's total shareholders' equity at December 31, 20X5. Present a detailed computation of each element of shareholders' equity. Use the end-of chapter summary problem to format your answer.

P10-79A. (*Learning Objectives 2, 4: Analyzing the shareholders' equity and dividends of a corporation*) Carved Outdoor Furniture Company included the following shareholders' equity on its year-end Balance Sheet at February 28, 20X7:

L0 2 4

Shareholders' Equity	
Preference share, 6.5% cumulative—par value \$35 per share; authorized 110,000 shares in each class	
Class A—issued 79,000 shares	\$ 2,765,000
Class B—issued 88,000 shares.....	3,080,000
Ordinary share—\$3 par value:.....	
authorized 1,200,000 shares, issued 280,000 shares.....	840,000
Additional paid-in capital—ordinary.....	5,542,000
Retained earnings.....	8,380,000
	<u>\$20,407,000</u>

Requirements

1. Identify the different issues of shares that Carved Outdoor Furniture Company has outstanding.
2. Give the summary entries to record issuance of all the Carved shares. Assume that all the shares was issued for cash. Explanations are not required.
3. Suppose Carved passed its preference dividends for three years. Would the company have to pay those dividends in arrears before paying dividends to the ordinary shareholders? Give your reason.
4. What amount of preference dividends must Carved declare and pay each year to avoid having preference dividends in arrears?
5. Assume that preference dividends are in arrears for 20X6. Record the declaration of an \$860,000 dividend on February 28, 20X7. An explanation is not required.

P10-80A. (*Learning Objectives 2, 3, 4: Accounting for shares issuance, dividends, and treasury shares*) Moscow Jewelry Company reported the following summarized Balance Sheet at December 31, 20X6:

L0 2 3 4

Assets	
Current assets.....	\$ 33,600
Property and equipment, net	74,000
Total assets.....	<u>\$107,600</u>
Liabilities and Equity	
Liabilities	\$ 37,300
Shareholders' equity:	
\$0.70 cumulative preference share, \$5 par, 300 shares issued ...	1,500
Ordinary share, \$4 par, 6,500 shares issued.....	26,000
Paid-in capital in excess of par	17,800
Retained earnings.....	25,000
Total liabilities and equity.....	<u>\$107,600</u>

During 20X7, Moscow completed these transactions that affected shareholders' equity:

Feb. 13	Issued 5,400 ordinary shares for \$6 per share.
Jun. 7	Declared the regular cash dividend on the preference share.
24	Paid the cash dividend.
Aug. 9	Distributed a 10% share dividend on the ordinary share. Market price of the ordinary share was \$7 per share.
Oct. 26	Reacquired 500 shares of ordinary share as treasury share, paying \$8 per share.
Nov. 20	Sold 200 shares of the treasury shares for \$13 per share.

Requirements

1. Journalize Moscow's transactions. Explanations are not required.
2. Report Moscow's shareholders' equity at December 31, 20X7. Net income for 20X7 was \$28,000.

L0 3 4

P10-81A. (*Learning Objectives 3, 4: Measuring the effects of dividend and treasury share transactions on a company*) Assume Dessert Destination of Montana, Inc., completed the following transactions during 20X6, the company's fifth year of operations:

Feb. 3	Issued 15,000 ordinary shares (\$1.00 par) for cash of \$445,000.
Mar. 19	Purchased 2,600 shares of the company's own ordinary share at \$25 per share.
Apr. 24	Sold 1,300 shares of treasury share—ordinary for \$33 per share.
Aug. 15	Declared a cash dividend on the 18,500 shares of \$0.40 no-par preference shares.
Sept. 1	Paid the cash dividends.
Nov. 22	Distributed an 8% share dividend on the 92,000 shares of \$1.00 par ordinary share outstanding. The market value of the ordinary share was \$27 per share.

Requirement

1. Analyze each transaction in terms of its effect on the accounting equation of Dessert Destination of Montana, Inc.

L0 3 6

P10-82A. (*Learning Objectives 3, 6: Preparing a corporation's Balance Sheet; measuring profitability*) The following accounts and related balances of Pelican Designers, Inc., as of December 31, 20X6, are arranged in no particular order.

Cash.....	\$55,000	Interest expense.....	\$ 15,600
Accounts receivable, net	34,000	Property, plant and	
Paid-in capital in excess		equipment, net	364,000
of par—ordinary	20,000	Ordinary share, \$2 par,	
Accrued liabilities.....	24,000	600,000 shares authorized,	
Long-term note payable	99,000	116,000 shares issued.....	232,000
Inventory.....	93,000	Prepaid expenses	13,000
Dividends payable.....	6,000	Ordinary shareholders'	
Retained earnings.....	?	equity, December 31, 20X6....	222,000
Accounts payable	136,000	Net income.....	32,000
Trademarks, net.....	4,000	Total assets,	
Preference share, \$0.50,		December 31, 20X6	493,000
no-par, 11,000 shares		Treasury share,	
authorized and issued.....	29,700	21,000 shares at cost.....	24,000
Goodwill.....	13,000		

Requirements

1. Prepare Pelican's classified Balance Sheet in the account format at December 31, 20X6.
2. Compute rate of return on ordinary shareholders' equity for the year ended December 31, 20X6.
3. Does the ROE suggest strength or weakness? Give your reason.

P10-83A. (Learning Objective 7: Analyzing the statement of cash flows) The statement of cash flows of Frappe, Inc., reported the following (adapted) for the year ended December 31, 20X6:

L0 7

Cash flows from financing activities (amounts in millions)	
Cash dividends paid	\$(1,850)
Issuance of ordinary shares at par value	1,243
Proceeds from issuance of long-term notes payable	52
Purchases of treasury share	(3,060)
Payments of long-term notes payable	(165)

Requirement

1. Make the journal entry that Frappe would use to record each of these transactions.

Group B

P10-84B. (Learning Objective 2: Recording corporate transactions and preparing the shareholders' equity section of the Balance Sheet) Laurel Canoes' constitution authorizes the corporation to issue 8,000 no-par preference shares and 120,000 shares of €8 par ordinary share. In its first month, Laurel Canoes completed the following transactions:

L0 2

Jan. 6	Issued 500 ordinary shares to the promoter for assistance with issuance of ordinary shares. The promotional fee was €7,500. Debit Organization Expense.
9	Issued 9,000 ordinary shares to Lou Laurel and 10,000 shares to Larry Laurel in return for cash equal to the share's market value of €15 per share. The Laurel were partners in Laurel Canoes, Inc.
10	Issued 600 preference shares to acquire a patent with a market value of €12,000.
26	Issued 1,400 ordinary shares for €15 cash per share.

Requirements

1. Record the transactions in the journal.
2. Prepare the shareholders' equity section of the Laurel Canoes, Inc., Balance Sheet at January 31. The ending balance of Retained Earnings is €56,000.

P10-85B. (Learning Objectives 2, 4: Preparing the shareholders' equity section of the Balance Sheet) Harry Corp. has the following shareholders' equity information:

L0 2 4

Harry's constitution authorizes the company to issue 5,000 shares of 8% preference shares with par value of €120 and 400,000 shares of no-par ordinary shares. The company issued 1,000 shares of the preference shares at €120 per share. It issued 80,000 shares of the ordinary shares for a total of €520,000. The company's retained earnings balance at the beginning of 20X6 was €72,000, and net income for the year was €93,000. During 20X6, Harry declared the specified dividend on preference shares and a €0.70 per-share dividend on ordinary shares. Preference dividends for 20X5 were in arrears.

Requirement

1. Prepare the shareholders' equity section of Harry Corp.'s Balance Sheet at December 31, 20X6. Show the computation of all amounts. Journal entries are not required.

L0 2 3 4

P10-86B. (*Learning Objectives 2, 3, 4: Measuring the effects of share issuance, treasury share, and dividend transactions on shareholders' equity*) Rich Foods, Inc., is authorized to issue 5,000,000 shares of €3.00 par ordinary shares.

In its initial public offering during 20X0, Rich issued 500,000 shares of its €3.00 par ordinary shares for €6.00 per share. Over the next year, Rich's share price increased, and the company issued 395,000 more shares at an average price of €9.00.

During 20X2, the price of Rich's ordinary shares dropped to €7.25, and Rich purchased 612,000 shares of its ordinary shares for the treasury. After the market price of the ordinary share rose in 20X3, Rich sold 38,000 shares of the treasury share for €8.00 per share.

During the five years from 20X0 to 20X5, Rich earned a net income of €1,250,000 and declared and paid cash dividends of €800,000. Share dividends of €644,400 were distributed to the shareholders in 20X1, with €214,800 credited to ordinary shares and €429,600 credited to additional paid-in capital. At December 31, 20X5, total assets of the company are €14,300,000, and liabilities add up to €7,440,500.

Requirement

1. Show the computation of Rich's total shareholders' equity at December 31, 20X5. Present a detailed computation of each element of shareholders' equity. Use the end-of-chapter summary problem to format your answer.

L0 2 4

P10-87B. (*Learning Objectives 2, 4: Analyzing the shareholders' equity and dividends of a corporation*) Rustic Outdoor Furniture Company included the following shareholders' equity on its year-end Balance Sheet at February 28, 20X7:

Shareholders' Equity	
Preference share, 4.0% cumulative—par value €20 per share	
authorized 100,000 shares in each class	
Class A—issued 77,000 shares	€ 1,540,000
Class B—issued 98,000 shares.....	1,960,000
Ordinary share—€4 par value:.....	
authorized 1,500,000 shares,	
issued 240,000 shares.....	960,000
Additional paid-in capital—ordinary.....	5,328,000
Retained earnings.....	8,310,000
	<u>€18,098,000</u>

Requirements

1. Identify the different issues of shares Rustic Outdoor Furniture Company has outstanding.
2. Give the summary entries to record issuance of all the Rustic shares. Assume that all the shares were issued for cash. Explanations are not required.
3. Suppose Rustic passed its preference dividends for three years. Would the company have to pay these dividends in arrears before paying dividends to the ordinary shareholders? Give your reasons.
4. What amount of preference dividends must Rustic declare and pay each year to avoid having preference dividends in arrears?
5. Assume that preference dividends are in arrears for 20X6. Record the declaration of an €840,000 dividend on February 28, 20X7. An explanation is not required.

L0 2 3 4

P10-88B. (*Learning Objectives 2, 3, 4: Accounting for share issuance, dividends, and treasury share*) London Gems Company reported the following summarized Balance Sheet at December 31, 20X6:

Assets	
Current assets.....	€33,500
Property and equipment, net	63,100
Total assets.....	<u>€96,600</u>
Liabilities and Equity	
Liabilities	€37,600
Shareholders' equity:	
€0.80 cumulative preference share, €15 par, 400 shares issued.....	6,000
Ordinary share, €2 par, 6,300 shares issued.....	12,600
Paid-in capital in excess of par	17,400
Retained earnings.....	23,000
Total liabilities and equity.....	<u>€96,600</u>

During 20X7, London completed these transactions that affected shareholders' equity:

Feb. 13	Issued 5,200 ordinary shares for €7 per share.
Jun. 7	Declared the regular cash dividend on the preference share.
24	Paid the cash dividend.
Aug. 9	Distributed a 20% share dividend on the ordinary share. Market price of the ordinary share was €8 per share.
Oct. 26	Reacquired 900 ordinary shares as treasury shares, paying €9 per share.
Nov. 20	Sold 600 shares of the treasury shares for €14 per share.

Requirements

1. Journalize London's transactions. Explanations are not required.
2. Report London's shareholders' equity at December 31, 20X7. Net income for 20X7 was €24,000.

P10-89B. (*Learning Objectives 3, 4: Measuring the effects of dividend and treasury share transactions on a company*) Assume Cookie Corner completed the following transactions during 20X6, the company's fifth year of operations:

L0 3 4

Feb. 4	Issued 14,000 shares (€1.00 par) for cash of €360,000.
Mar. 20	Purchased 2,200 shares of the company's own ordinary share at €22 per share.
Apr. 25	Sold 900 shares of treasury shares—ordinary for €31 per share.
Aug. 17	Declared a cash dividend on the 15,000 shares of €0.80 no-par preference shares.
Sep. 4	Paid the cash dividends.
Nov. 28	Distributed a 5% share dividend on the 99,000 shares of €1.00 par ordinary share outstanding. The market value of the ordinary share was €23 per share.

Requirement

1. Analyze each transaction in terms of its effect on the accounting equation of Cookie Corner of Wisconsin, Inc.

L0 3 6

P10-90B. (*Learning Objectives 3, 6: Preparing a corporation's Balance Sheet; measuring profitability*) The following accounts and related balances of Eagle Designers, Inc., as of December 31, 20X6, are arranged in no particular order.

Cash.....	€43,000	Interest expense.....	€ 16,000
Accounts receivable, net	22,000	Property, plant and	
Paid-in capital in excess		equipment, net	359,000
of par—ordinary	17,000	Ordinary share, €2 par,	
Accrued liabilities.....	27,000	300,000 shares authorized,	
Long-term note payable	96,000	117,000 shares issued.....	234,000
Inventory.....	94,000	Prepaid expenses	16,000
Dividends payable.....	12,000	Ordinary shareholders'	
Retained earnings.....	?	equity, December 31, 20X6....	225,000
Accounts payable	133,000	Net income.....	30,000
Trademarks, net.....	10,000	Total assets,	
Preference share, €50,		December 31, 20X6	496,000
no-par, 12,000 shares		Treasury share, ordinary,	
authorized and issued.....	32,400	19,000 shares at cost.....	22,000
Goodwill.....	11,000		

Requirements

1. Prepare Eagle's classified Balance Sheet in the account format at December 31, 20X6.
2. Compute rate of return on ordinary shareholders' equity for the year ended December 31, 20X6.
3. Does the ROE suggest strength or weakness? Give your reason.

L0 7

P10-91B. (*Learning Objective 7: Analyzing the statement of cash flows*) The statement of cash flows of Smoothie, Inc., reported the following (adapted) for the year ended December 31, 20X6:

Cash flows from financing activities (amounts in millions)	
Cash dividends paid	€(1,880)
Issuance of common stock at par value	1,236
Proceeds from issuance of long-term notes payable.....	59
Purchases of treasury stock	(3,084)
Payments of long-term notes payable	(126)

Requirement

1. Make the journal entry that Smoothie would use to record each of these transactions.

APPLY YOUR KNOWLEDGE

Decision Cases

L0 2

■ writing assignment

Case 1. (*Learning Objective 2: Evaluating alternative ways of raising capital*) Nate Santiago and Darla Perez have written a computer program for a video game that may rival PlayStation and Xbox. They need additional capital to market the product, and they plan to incorporate their business. Santiago and Perez are considering alternative capital structures for the corporation. Their primary goal is to raise as much capital as possible without giving up control of the business. Santiago and Perez plan to receive 50,000 of the corporation's ordinary shares in return for the net assets of their old business. After the old company's books are closed and the assets adjusted to current market value, Santiago's and Perez's capital balances will each be \$25,000.

The corporation's plans for a constitution include an authorization to issue 10,000 preference shares and 500,000 shares of \$1 par ordinary shares. Santiago and Perez are uncertain about the most desirable features for the preference shares. Prior to incorporating, Santiago and Perez are discussing their plans with two investment groups. The corporation can obtain capital from outside investors under either of the following plans:

- *Plan 1.* Group 1 will invest \$100,000 to acquire 1,000 shares of 6%, \$100 par non-voting, preference shares.
- *Plan 2.* Group 2 will invest \$60,000 to acquire 600 shares of \$5, no-par preference shares and \$50,000 to acquire 50,000 ordinary shares. Each preference share receives 50 votes on matters that come before the shareholders.

Requirements

Assume that the business is now incorporated.

1. Journalize the issuance of ordinary shares to Santiago and Perez. Debit each person's capital account for its balance.
2. Journalize the issuance of shares to the outsiders under both plans.
3. Assume that net income for the first year is \$120,000 and total dividends are \$30,000. Prepare the shareholders' equity section of the corporation's Balance Sheet under both plans.
4. Recommend one of the plans to Smith and Jones. Give your reasons. (Challenge)

Case 2. (*Learning Objective 4: Analyzing cash dividends and share dividends*) United Parcel Service (UPS), Inc., had the following shareholders' equity amounts on December 31, 20X6 (adapted, in millions):

Ordinary share and additional paid-in capital; 1,135 shares issued	\$ 278
Retained earnings	9,457
Total shareholders' equity	<u>\$9,735</u>

During 20X6, UPS paid a cash dividend of \$0.825 per share. Assume that, after paying the cash dividends, UPS distributed a 10% share dividend. Assume further that the following year UPS declared and paid a cash dividend of \$0.75 per share.

Suppose you own 10,000 shares of UPS ordinary share, acquired three years ago, prior to the 10% share dividend. The market price of UPS shares was \$61.05 per share before the share dividend.

Requirements

1. How does the share dividend affect your proportionate ownership in UPS? Explain.
2. What amount of cash dividends did you receive last year? What amount of cash dividends will you receive after the above dividend action?
3. Assume that immediately after the share dividend was distributed, the market value of UPS's share decreased from \$61.05 per share to \$55.50 per share. Does this decrease represent a loss to you? Explain.
4. Suppose UPS announces at the time of the share dividend that the company will continue to pay the annual \$0.825 *cash* dividend per share, even after distributing the *share* dividend. Would you expect the market price of the share to decrease to \$55.50 per share as in Requirement 3? Explain.

Case 3. (*Learning Objectives 2, 3, 4, 5: Evaluating financial position and profitability*) At December 31, 2000, Enron Corporation reported the following data (condensed in millions):

Total assets	\$65,503
Total liabilities	54,033
Shareholders' equity	11,470
Net income, as reported, for 2000	979

L0 4

■ **writing assignment**

L0 2 3 4 5

■ **writing assignment**

During 2001, Enron restated company financial statements for 1997 to 2000, after reporting that some data had been omitted from those prior-year statements. Assume that the startling events of 2001 included the following:

- Several related companies should have been, but were not, included in the Enron statements for 2000. These companies had total assets of \$5,700 million, liabilities totaling \$5,600 million, and net losses of \$130 million.
- In January 2001, Enron's shareholders got the company to give them \$2,000 million of 12% long-term notes payable in return for their giving up their ordinary shares. Interest is accrued at year-end.

Take the role of a financial analyst. It is your job to analyze Enron Corporation and rate the company's long-term debt.

Requirements

1. Measure Enron's expected net income for 2001 in two ways:
 - a. Assume 2001's net income should be the same as the amount of net income that Enron actually reported for 2000. (Given)
 - b. Recompute expected net income for 2001 taking into account the new developments of 2001. (Challenge)
 - c. Evaluate Enron's likely trend of net income for the future. Discuss *why* this trend is developing. Ignore income tax. (Challenge)
2. Write Enron's accounting equation in two ways:
 - a. As actually reported at December 31, 2000.
 - b. As adjusted for the events of 2001. (Challenge)
3. Measure Enron's debt ratio as reported at December 31, 2000, and again after making the adjustments for the events of 2001.
4. Based on your analysis, make a recommendation to the Debt-Rating Committee of Moody's Investor Services. Would you recommend upgrading, downgrading, or leaving Enron's debt rating undisturbed (currently, it is "high-grade")? (Challenge)



■ writing assignment

Ethical Issue

Ethical Issue 1. *Note:* This case is based on a real situation.

George Campbell paid \$50,000 for a franchise that entitled him to market Success Associates' software programs in the countries of the European Union. Campbell intended to sell individual franchises for the major language groups of western Europe—German, French, English, Spanish, and Italian. Naturally, investors considering buying a franchise from Campbell asked to see the financial statements of his business.

Believing the value of the franchise to be greater than \$50,000, Campbell sought to capitalize his own franchise at \$500,000. The law firm of McDonald & LaDue helped Campbell form a corporation chartered to issue 500,000 ordinary shares with par value of \$1 per share. His attorneys suggested the following chain of transactions:

- a. A third party borrows \$500,000 and purchases the franchise from Campbell.
- b. Campbell pays the corporation \$500,000 to acquire all its shares.
- c. The corporation buys the franchise from the third party, who repays the loan.

In the final analysis, the third party is debt-free and out of the picture. Campbell owns all the corporation's shares, and the corporation owns the franchise. The corporation Balance Sheet lists a franchise acquired at a cost of \$500,000. This Balance Sheet is Campbell's most valuable marketing tool.

Requirements

1. What is the ethical issue in this situation?
2. Who are the stakeholders to the suggested transaction?
3. Analyze this case from the following standpoints: (a) economic, (b) legal, (c) ethical. What are the consequences to each stakeholder?
4. How should the transaction be reported?

Ethical Issue 2. St. Genevieve Petroleum Company is an independent oil producer in Baton Parish, Louisiana. In February, company geologists discovered a pool of oil that tripled the company's proven reserves. Prior to disclosing the new oil to the public, St. Genevieve quietly bought most of its shares as treasury shares. After the discovery was announced, the company's share price increased from \$6 to \$27.

■ writing assignment

Requirements

1. What is the ethical issue in this situation? What accounting principle is involved?
2. Who are the stakeholders?
3. Analyze the facts from the following standpoints: (a) economic, (b) legal, and (c) ethical. What is the impact to each stakeholder?
4. What decision would you have made?

Focus on Financials: | Nestlé

This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well.

Refer to Nestlé's financial statements in Appendix A. If you wish, you can obtain the full annual report from www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.



Requirements

1. Describe the class(es) of stocks or shares that Nestlé has authorized. How many shares of each class(es) have been issued? How many are outstanding as of December 31, 2016?
2. Refer to the Consolidated Cash Flow Statement and Note 17 - Equity. How many shares of treasury stock did the company purchase during the year ended December 31, 2015? How much did it pay for it in total? How much per share?
3. Examine Nestlé's consolidated statement of shareholders' equity. Analyze the two biggest changes that occurred in the company's Retained Earnings account during the year ended December 31, 2016. Can you link the changes to any of its other financial statements?
4. Create the T-account for Nestlé's Retained Earnings and show the beginning and ending balances, as well as all related activity for the year ended December 31, 2016. Journalize the transactions relating to profit, dividends, and the cancellation of treasury shares.
5. Compute Nestlé's return on equity for 2016 and 2015 (note that the 2014 ending equity was CHF 70,130 million). Has Nestlé's ROE improved or deteriorated?

Group Project in Ethics

The global financial crisis that started in 2007 has impacted every business, but it was especially hard on banks, automobile manufacturing, and retail companies. Banks were largely responsible for the recession. Some of the biggest banks made excessively risky investments collateralized by real estate mortgages, and many of these investments soured when the real estate markets collapsed. When banks had to write these investments down to market values, the regulatory authorities notified them that they had inadequate capital ratios on their Balance Sheets to operate. Banks stopped loaning money. Because share prices were depressed, companies could not raise capital by selling shares. With both debt and share financing frozen, many businesses had to close their doors.

Fearing collapse of the whole economy, the central governments of the United States and several European nations loaned money to banks to prop up their capital ratios and keep them open. The government also loaned massive amounts to the largest insurance company in the United States (AIG), as well as to General Motors and Chrysler, to help them stay in business. When asked why, many in government replied "these businesses were too important to fail." In several cases, the U.S. government has taken an "equity stake" in some banks and businesses by taking preference shares in exchange for the cash infusion.

Because of the recession, corporate downsizing has occurred on a massive scale throughout the world. While companies in the retail sector provide more jobs than the banking and automobile industry combined, the government has not chosen to “bail out” any retail businesses. Each company or industry mentioned in this book has pared down plant and equipment, laid off employees, or restructured operations. Some companies have been forced out of business altogether.

■ writing assignment

Requirements

1. Identify all the stakeholders of a corporation. A stakeholder is a person or a group who has an interest (that is, a stake) in the success of the organization.
2. Do you believe that some entities are “too important to fail?” Should a federal government help certain businesses to stay afloat during economic recessions, and allow others to fail?
3. Identify several measures by which a company may be considered deficient and in need of downsizing. How can downsizing help to solve this problem?
4. Debate the bailout issue. One group of students takes the perspective of the company and its shareholders, and another group of students takes the perspective of the other stakeholders of the company (the community in which the company operates and society at large).
5. What is the problem with the government taking an equity position such as preference shares in a private enterprise?

Quick Check Answers

1. c ($25,000 \text{ shares} \times \$25 = \$625,000$)
2. a ($\$640,000 / \$5 \text{ par} = 128,000 \text{ shares}$)
3. b ($\$375,000 + \$60,000 + \$640,000 = \$1,075,000$)
4. d ($\$375,000 + \$60,000 + \$640,000 + \$325,000 = \$1,400,000$)
5. a ($\$1,400,000 - \$10,000 = \$1,390,000$)
6. d [No gain or loss (for the Income Statement) on treasury shares transactions]
7. c
8. b
9. b
10. d
11. b [First, annual preference dividend = $\$1,000$ ($2,000 \times \$25 \times 0.02$)]. Five years of preference dividends must be paid (four in arrears plus the current year). $[(\$1,000 \times 5) + (\$125,000 \times \$2.50 \text{ per share ordinary dividend}) = \$317,500]$
12. a
13. d
14. d
15. a
16. d

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